

Question #1 of 180

Question ID: 1420390

Which of the following statements about ethical behavior is *most accurate*?

- A) Legal standards typically set a higher standard of behavior than ethical standards. 
- B) Personal traits are the most important determinant of the ethical quality of one's behavior. 
- C) Unethical behavior in the investment industry increases the cost of capital for businesses. 

Explanation

Unethical behavior in the investment industry increases the cost of capital for businesses by increasing savers' perceived risk of providing funds, causing them to demand a higher rate of return on the capital they provide. Situational influences external to an individual are claimed to be a more important determinant of ethical behavior than personal traits. Ethical standards often set a higher standard of behavior than legal standards.

For Further Reference:

(Study Session 19, Module 56.1, LOS 56.g)

CFA® Program Curriculum, Volume 6, page 267

Question #2 of 180

Question ID: 1420400

While at dinner a member overhears a well-known and influential analyst from a different firm tell his companion that he will be raising his recommendation on Tree Products from hold to buy when he appears on a morning talk show the next day. Before the broadcast, the member buys 1,000 shares of Tree Products for her own account. The member has violated the Standard relating to:

- A) fair dealing. 
- B) diligence and reasonable basis. 
- C) material nonpublic information. 

Explanation

A change in investment recommendation by a well-known and influential analyst is likely to affect the market price and is considered material information, so acting on this information before it has been released is prohibited by Standard II(A) Material Nonpublic Information. Because the member does not work for the analyst's firm, this is not addressed by Standard III(B) Fair Dealing. Having a reasonable basis does not apply to a member's own personal trades.

For Further Reference:

(Study Session 19, Module 58.4, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #3 of 180

Question ID: 1420394

Allen Winkler, CFA, recently had lunch with Kim Thompson, a former professor of his, who told him of a new valuation model she had developed. Winkler recreated Thompson's model with some revisions and back-tested it using data provided by Standard & Poor's (S&P) with impressive results. Winkler's firm launches a mutual fund based on the revised model, and Winkler provides a discussion of the principles underlying the model and the test results. Is Winkler required to credit Thompson for having developed the model and S&P as the source of the data?

- A) Both of these sources must be cited.
- B) Neither of these sources must be cited.
- C) Only one of these sources must be cited.



Explanation

Under Standard I(C) Misrepresentation, Winkler must identify Thompson as having developed the original model to avoid the prohibition against plagiarism. The only permitted exception is using factual information published by recognized financial and statistical reporting services such as S&P.

For Further Reference:

(Study Session 19, Module 58.2, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #4 of 180

Question ID: 1420411

Donald Smith, CFA, has been assigned by his employer to write a report for clients on Braden Corporation. Smith has 1,000 shares of Braden that he bought three years ago and has been discussing a consulting contract with Braden to write guidelines for their investor relations department. If Smith writes the report on Braden Corporation, he must disclose within the report:

- A) both his ownership of Braden shares and his prospective consulting work. 
- B) and to his employer his prospective consulting work but not his ownership of Braden shares. 
- C) his ownership of Braden shares but need only disclose his prospective consulting work to his employer. 

Explanation

Both ownership of Braden stock and the possible consulting work present potential conflicts of interest for Smith and must be disclosed within the report to comply with Standard VI(A) Disclosure of Conflicts.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #5 of 180

Question ID: 1420404

Diane Harris, a CFA Institute member, is a portfolio manager for Worldwide Investments. One of her clients has offered her the use of his condominium in Hawaii if the returns on his U.S. equities account beat their benchmark on a risk-adjusted basis. Harris informed her manager of all terms of this agreement in writing and received verbal consent to the arrangement before accepting the offer. Did Harris violate the Standards?

- A) Yes, because written consent from her employer is required. 
- B) No, because bonuses from clients for doing her job well do not create a conflict of interest. 
- C) No, because Harris notified and received verbal consent from her employer to enter the arrangement. 

Explanation

Standard IV(B) Additional Compensation Arrangements requires that members and candidates obtain written consent from their employers to enter into the agreement for additional contingent compensation from a client. Harris only received verbal consent. The concern is that such an arrangement might induce Harris to give partiality to this client's portfolio over those of her other clients.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #6 of 180

Question ID: 1420408

Betty Cantor, CFA, has been finishing a report on high-tech firm HLC Corporation and intends to give it a "market perform" rating. Before releasing the report, she speaks with Donald Watson, her former manager and mentor, who is now with another investment firm and is well known for his great calls on high-tech companies. Watson is bullish on HLC and tells Cantor that "HLC is going to increase for sure over the next year, and we have it as a buy." Cantor changes her rating on HLC to "outperform" based on Watson's comments. Cantor has:

- A) not violated the Standards because she knows the high quality of Watson's analysis. 
- B) violated the Standards because she based her rating on material nonpublic information. 
- C) violated the Standards because she does not have a reasonable basis for her recommendation. 

Explanation

Cantor violated Standard V(A) Diligence and Reasonable Basis because she did not have a reasonable and adequate basis for recommending clients buy HLC. Watson's enthusiasm and claim that HLC stock will perform well are not consistent with Cantor's conclusions. She must perform her own analysis before changing her investment recommendation. She has also violated Standard I(B) Independence and Objectivity because she has not exhibited the independence of analysis and thought that is required by the Standard.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #7 of 180

Question ID: 1420409

Tom Hayes, CFA, changed firms recently, becoming the senior analyst at Balcom Management. He had earned a great reputation at his old firm with his analysis of Selldex, which doubled in value after his recommendation. Because he still likes Selldex, Hayes recreates from public sources the records and analysis he did at his previous employer and issues a report on Selldex with a "buy" rating. Hayes has:

- A) not violated the Standards. 
- B) violated the Standards because the analysis he did for his previous employer belongs to his previous employer. 
- C) violated the Standards because his analysis is based on previous research and not independent of his prior analysis. 

Explanation

The actions are not in violation of the Standards. Under Standard IV(A) Loyalty, the use in new employment of knowledge and experience gained in previous employment is not prohibited. Hayes recreated the supporting records as required by Standard V(C) Record Retention.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #8 of 180

Question ID: 1420415

The CFA Institute Code of Ethics *most likely* requires members and candidates to:

- A) not engage in activity which compromises the integrity of CFA Institute. 
- B) stay informed on applicable laws and regulations that pertain to their respective areas of business. 
- C) act with competence, integrity, and in ethical manner when dealing with the public, clients, employers, employees, and other market participants. 

Explanation

The first requirement of the Code of Ethics is that members and candidates "act with integrity, competence, diligence, respect, and in an ethical manner with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets." Knowing the applicable laws and regulations is required by Standard I(A) Knowledge of the Law. Standard VII(A) Conduct as Participants in CFA Institute Programs requires members and candidates not to compromise the integrity of CFA Institute.

For Further Reference:

(Study Session 19, Module 58.9, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #9 of 180

Question ID: 1420405

Craig Boone, CFA, a fixed-income trader, observes that one of the salesmen on the desk has been allocating his trades at the end of the day, giving better execution to large clients, a practice Boone suspects is illegal. The salesman tells Boone this is a common practice and that the firm's senior management is aware of it. If Boone makes a personal record of the activity, takes it home for his personal files, and subsequently reveals it to regulatory authorities, he would:

- A) not be in violation of any Standards. 
- B) be in violation of the Standards for disclosing confidential information. 
- C) be in violation of the Standards for breaching his duty of loyalty to his employer. 

Explanation

According to Standard IV(A) Loyalty, the interests of a member or candidate's employer are secondary to protecting the interests of clients and the integrity of capital markets. In this circumstance, whistleblowing is justified. As long as his motivation is clearly not for personal gain, he may, according to the Standards, violate employer confidentiality in this case. While he is required to dissociate from the suspect activity by Standard I(A) Knowledge of the Law, he is not prohibited by the Standards from reporting it unless a stricter local law applies.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #10 of 180

Question ID: 1420391

Sanctions that may be imposed on members by CFA Institute include:

- A) public censure, suspension of membership, and fines. 
- B) suspension of membership, revocation of CFA charter, and fines. 
- C) public censure, suspension of membership, and revocation of CFA charter. 

Explanation

If a Professional Conduct Program inquiry finds that a member has violated the Code and Standards, CFA Institute may impose sanctions, which include public censure, suspension of membership in CFA Institute and use of the CFA designation, and revocation of a member's CFA charter. CFA Institute does not impose fines.

For Further Reference:

(Study Session 19, Module 57.1, LOS 57.a)

CFA® Program Curriculum, Volume 6, page 285

Question #11 of 180

Question ID: 1420412

Mary Walters, CFA, is a bank trust officer who has entered into a referral agreement with Bob Sear, a tax attorney. Sear has told Walters that he will do her tax work in return for referrals. According to the CFA Institute Code and Standards, Walters must disclose:

- A) only the fact that she compensated for referrals, to any clients or prospects she refers to Sear. 
- B) only the fact that she is compensated for referrals, to her employer and any clients or prospects she refers to Sear. 
- C) the fact that she is compensated for the referrals and the nature of the compensation she is to receive, to her employer and any clients or prospects she refers to Sear. 

Explanation

Standard VI(C) Referral Fees requires members and candidates to disclose any compensation received for referrals and the nature of the compensation, to their employers and to any clients or prospects they refer to others with the expectation of compensation in any form.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #12 of 180

Question ID: 1420396

Ronaldo Jenkins, CFA, chief investment officer for Windwatch Advisors, has been helping his local municipality find an investment bank for a bond issue. Jenkins was told in confidence that one investment bank, which is a subsidiary of a commercial bank held in Windwatch client portfolios, is experiencing financial difficulties and will be shut down soon. According to the CFA Institute Standards of Professional Conduct, Jenkins is *least likely* permitted to:

- A) share the information received about the investment bank with his compliance officer. 
- B) share the information received about the investment bank with Windwatch's head of equity investments. 
- C) approach the investment bank about making public disclosure of the financial difficulties and pending closure. 

Explanation

The information received by Jenkins is covered by Standard II(A) Material Nonpublic Information, under which members who possess material nonpublic information related to the value of a security are prohibited from trading, or causing others to trade in, that security. For purposes of compliance with Standard II(A), Jenkins may attempt to achieve public dissemination of the information and may inform his compliance officer of the information. However, under no circumstances should Jenkins share material nonpublic information with other investment personnel. Sharing such information may cause others to trade on the information in violation of Standard II(A).

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #13 of 180

Question ID: 1420401

Morton Crane, CFA, is a portfolio manager. Crane has just been informed by his compliance officer that a new law will require additional disclosures of personal client information to regulators for two of Crane's former clients and one of his current clients. Crane decides to comply with the new law and provide the required client information. Has Crane violated CFA Institute Standards of Professional Conduct?

- A) No. 
- B) Yes, because he disclosed confidential information about a former client. 
- C) Yes, because he disclosed confidential information about a current client. 

Explanation

According to Standard III(E) Preservation of Confidentiality, members and candidates must keep information about former, current, and potential future clients confidential unless client information is legally required to be disclosed, the information pertains to potential illegal client activities, or the client gives permission for the information to be disclosed. Crane is complying with current legal reporting requirements, which require disclosure of personal client information for both former and current clients. Thus, Crane has not violated the Standard by disclosing the client information.

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #14 of 180

Question ID: 1420397

While visiting Cassori Company, Mark Ramsey, CFA, overhears management make comments that are not public information but are not really meaningful by themselves. Combining this information with his own analysis and other outside sources, Ramsey decides to change his recommendation on Cassori from "Buy" to "Sell." According to the CFA Institute Standards of Professional Conduct, Ramsey:

- A) must not issue his report until Cassori's management makes their comments public. 
- B) may issue his "Sell" report because the facts are nonmaterial, but should maintain a file of the facts and documents leading to this conclusion. 
- C) must report these events to his immediate supervisor and legal counsel, since they have become material in combination with his analysis. 

Explanation

According to Standard II(A) Material Nonpublic Information, the use of security analysis combined with nonmaterial nonpublic information to arrive at significant conclusions is allowable under the mosaic theory.

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #15 of 180

Question ID: 1420418

When a member or candidate knows that a client and coworker are violating regulatory rules and local law, the member or candidate is:

- A) not required to report any of the violations to authorities. 
- B) required to report violations by the coworker but not the client. 
- C) required to report the violations of the law and of the regulatory rules to the appropriate authority. 

Explanation

The Standards strongly encourage, but do not require, members and candidates to report violations of relevant regulatory rules and laws.

For Further Reference:

(Study Session 19, Module 58.1, Module 60.1, LOS 58.a, 58.b, 58.c, 60.a, 60.b)

CFA® Program Curriculum, Volume 6, page 499

Question #16 of 180

Question ID: 1420398

Adam Schute, CFA, is on a conference call with the CFO of an investment banking client with his phone speaker on and his door open. As a result, salesmen and traders overhear the CFO describing problems with production target dates that have not been publicly disclosed. The salesmen relay this information to clients and the traders reduce their positions in the stock. With respect to the Standard on material nonpublic information, Schute has:

- A) not violated the Standard because he has not acted on the information, but the traders and salesmen have violated the Standard. 
- B) violated the Standard because he should have taken steps to prevent the dissemination of the information. 
- C) violated the Standard by not making the information public when he realized others had overheard the call. 

Explanation

Schute has violated the Standard by not taking steps to ensure that the nonpublic information he has received as part of his investment banking work was not shared with others in the firm.

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #17 of 180

Question ID: 1420416

Peter Wellington has changed his status in marketing materials to "Level III CFA candidate." Wellington passed the Level II CFA exam and just received his results. He intends to register for the next Level III CFA examination that is offered the following June. Wellington has:

- A) not violated the Standards of Professional Conduct. 
- B) violated the Standard on conduct as participants in CFA Institute programs. 
- C) violated the Standard on reference to the CFA Institute, the CFA Designation, and the CFA Program. 

Explanation

Under Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program, candidates in the CFA Program may appropriately reference their participation in the CFA Program. However, to be considered a candidate, individuals must be registered to take the next scheduled CFA examination. Therefore, Wellington, who intends to register for the next exam, but has not done so, has violated Standard VII(B). Wellington may indicate that he passed Level II of the CFA Program and the year in which he passed, but he is not a candidate unless he is registered for the next exam or awaiting exam results. Standard VII(A) Conduct as Participants in CFA Institute Programs addresses issues that concern the validity and security of the exams and the integrity and reputation of the CFA designation and CFA Institute.

For Further Reference:

(Study Session 19, Module 58.9, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #18 of 180

Question ID: 1420406

When he assumed the job of compliance officer two years ago, Ed Michaels, CFA, issued written compliance procedures and made all covered employees aware of the procedures. A report by an external auditor found that on several occasions over the past two years, two different employees traded in recommended securities ahead of trades made in managed client accounts. Michaels fires both employees and recirculates the written compliance procedures that explain clearly which activities are prohibited. Michaels has violated the Standard concerning:

- A) Responsibilities of Supervisors by firing the employees instead of restricting their activities. 

- B) Responsibilities of Supervisors by failing to implement reasonable procedures to detect violations. 
- C) Misconduct because, as the compliance officer, he is associated with, and ultimately responsible for, the unethical activity. 

Explanation

Michaels has violated Standard IV(C) Responsibilities of Supervisors, which requires him to make reasonable efforts to detect and prevent violations of compliance procedures. Simply making employees aware of the rules is not enough. Monitoring of employee trades, duplicate confirms, establishing blackout periods, or preclearance of employee trades are all methods that would have revealed the problem prior to the external audit. Michaels has not violated Standard I(D) Misconduct because his actions did not exhibit dishonesty or lack of integrity.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #19 of 180

Question ID: 1420413

Ralph Malone, CFA, has many clients, including a trust account that benefits three of his immediate family members. His firm changes its recommendation on a stock from "hold" to "buy" on a security that is suitable for many clients, including the trust. Which of the following would be considered a violation of the Standard concerning priority of transactions?

- A) Malone waits until after the firm purchases the security to buy it for the family trust account. 
- B) Malone trades on the family account shortly after his firm's clients have been informed of the buy recommendation. 
- C) The firm gives clients time to act on the new recommendation and then buys 100,000 shares for its own account prior to publicly disclosing the new recommendation. 

Explanation

Because the family account is a client account, it should be treated as any other client account would be. Waiting until after the firm buys shares would violate Standard VI(B) Priority of Transactions. There is no requirement that a firm's recommendations be made public.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #20 of 180

Question ID: 1420407

Patricia Nelson, CFA, is informed by one of her clients that if she can get the performance of the client firm's pension portfolio above that of the Standard & Poor's average by year-end, the client will give her a free trip to Singapore to visit the firm's offices. If Nelson agrees to this arrangement, which of the following actions complies with CFA Institute Standards of Professional Conduct? Nelson:

- A) must inform her employer of this agreement but does not need consent. 
- B) must inform her employer of this agreement and may accept it with verbal consent. 
- C) may inform her employer by email of this agreement and must receive written consent. 

Explanation

To comply with Standard IV(B) Additional Compensation Arrangements, because the additional compensation is contingent on future performance, Nelson must disclose this additional compensation to her employer and must receive written consent, which can be email or any other form of communication that can be documented.

For Further Reference:

(Study Session 19, Module 58.6, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #21 of 180

Question ID: 1420410

John Anderson, CFA, follows Radley Manufacturing for his employer, Atlas Brokers. Radley has announced a takeover bid for Palmer Industries, a company that Atlas does not follow. To get out a research note about the potential effects of the acquisition on Radley, Anderson purchases a report on Palmer from a research firm Atlas regularly uses. Anderson incorporates projections and analysis from the purchased report into his research note on what a post-acquisition Radley would look like but does not cite the source. Anderson has violated the Standard on:

- A) misrepresentation. 
- B) independence and objectivity. 
- C) diligence and reasonable basis. 

Explanation

Anderson has violated Standard I(C) Misrepresentation by representing the work of another as his own in the report. The use of third-party research is not necessarily a violation of Standard I(B) Independence and Objectivity or Standard V(A) Diligence and Reasonable Basis. Using a research firm that is approved by his company is permitted as long as he has no knowledge that the work is of less than good quality.

For Further Reference:

(Study Session 19, Module 58.7, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #22 of 180

Question ID: 1420414

Susan Smart, CFA, is about to change her "buy" recommendation on RollinsCo to "sell." RollinsCo had been growing rapidly over the past year, but Smart believes the growth potential is now gone. Smart sells the shares held in her discretionary client accounts and in her own personal account before issuing her report. According to the Standards that concern fair dealing and priority of transactions, Smart violated:

- A) both of these Standards. 
- B) neither of these Standards. 
- C) only one of these Standards. 

Explanation

Smart violated both Standards. Smart violated Standard III(B) Fair Dealing because she did not deal fairly and objectively with all clients and prospects when disseminating investment recommendations, giving priority to some of the firm's clients by trading for her clients first before issuing the report. She also sold her own shares before issuing the report, which violated Standard VI(B) Priority of Transactions. Smart did not give clients an opportunity to react to and benefit from her recommendation before she personally benefited from her research.

For Further Reference:

(Study Session 19, Module 58.8, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #23 of 180

Question ID: 1420399

Matt Jacobs, CFA, recommended to a client that he buy shares in Timeco, which has subsequently underperformed the market. Timeco stock is thinly traded, and its price has decreased sharply over the past few weeks because two insiders have sold large blocks of shares. Jacobs believes this price decrease reflects an illiquid market. Because he still believes Timeco is a good long-term investment, he buys shares for his personal account in order to raise the price and help him convince his client to hold on to his investment in Timeco. Has Jacobs violated the Standards?

- A) No, because the trade is for the benefit of his client. 
- B) Yes, because he intended to manipulate the market price of Timeco. 
- C) No, because he is providing liquidity to offset the effects of the recent large insider sales. 

Explanation

Whatever his motivation, Jacobs' attempt to manipulate the market price of Timeco shares with the intent to deceive market participants (in this case, his own client) constitutes a violation of Standard II(B) Market Manipulation.

For Further Reference:

(Study Session 19, Module 58.3, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #24 of 180

Question ID: 1420417

To be compliant with GIPS, a firm's composites must comprise all:

A) fee-paying accounts.



B) discretionary accounts.



C) discretionary accounts that are fee-paying.



Explanation

Each discretionary fee-paying account must be included in one, and only one, composite.

For Further Reference:

(Study Session 19, Module 59.1, LOS 59.c)

CFA® Program Curriculum, Volume 6, page 494

Question #25 of 180

Question ID: 1420393

Tony Roberts, CFA, is part of a team that manages equities accounts. He believes that a teammate, who is not a CFA Institute member or candidate, takes actions that, while not illegal under local law, violate CFA Institute Standards of Professional Conduct. According to the CFA Institute Standards of Professional Conduct, Roberts:

A) is required to dissociate from the team's activities if they continue.



B) is not required to act because the Code and Standards do not apply to non-members.



C) must report the suspected violations of the Code and Standards first to his supervisor and then to CFA Institute.



Explanation

If Roberts suspects someone is engaging in activities that are illegal or violate the Code and Standards, Standard I(A) Knowledge of the Law requires him to dissociate from the activities if he cannot remedy the situation. In this situation, the teammate is acting within the applicable laws but is violating CFA Institute Standards of Professional Conduct. When the Code and Standards are stricter than applicable law, the Code and Standards apply to members and candidates. However, Roberts is not required by the Code and Standards to report violations of laws or the Code and Standards to CFA Institute or to governmental regulators, although it may be prudent or even required by law that he do so.

For Further Reference:

(Study Session 19, Module 58.1, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #26 of 180

Question ID: 1420395

Judy Blush is a CFA candidate and is recommending the purchase of a mutual fund that invests solely in long-term U.S. Treasury bonds (T-bonds) to one of her clients. She states: "Because the U.S. government guarantees payment of both principal and interest on its bonds, risk of loss from investing in this fund is virtually zero." Blush's actions violated:

- A) the Standard on misrepresentation. 
- B) the Standard on communication with clients. 
- C) none of the Standards of Professional Conduct. 

Explanation

Government bonds are default risk free but are subject to price risk, particularly if the bonds are longer-term than the investor's horizon. Thus, Blush misrepresented the nature of investing in the fund and therefore violated Standard I(C) Misrepresentation.

For Further Reference:

(Study Session 19, Module 58.2, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #27 of 180

Question ID: 1420392

The Code of Ethics *least likely* states that members and candidates are required to:

- A) use their own judgement. 
- B) obey all laws and the Standards of Practice. 
- C) attempt to improve the competence of other investment professionals. 

Explanation

Requirements for following laws and regulations are contained in the Standards (e.g., Standard I(A) Knowledge of the Law). The other choices are both explicitly required by the Code of Ethics.

For Further Reference:

(Study Session 19, Module 57.1, LOS 57.b)

CFA® Program Curriculum, Volume 6, page 285

Question #28 of 180

Question ID: 1420402

According to the Standard concerning suitability, it is *most likely* that members and candidates in advisory relationships with clients should:

- A) document unsuccessful attempts to update client information. 
- B) purchase only securities with low to medium risk for a client with moderate risk tolerance. 
- C) decline to manage assets for clients who withhold important information about their financial circumstances and needs. 

Explanation

Members and candidates who are in advisory relationships with clients should document unsuccessful attempts to update client information and circumstances. Because risk is to be evaluated in a portfolio context, there is no prohibition against the purchase of a security that is risky on a stand-alone basis, as long as the risk of the client's overall portfolio is consistent with their ability and willingness to assume investment risk. While lack of client information could make suitability a difficult question, Standard III(C) Suitability does not prohibit managing assets for clients who withhold information about their financial circumstances and needs.

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #29 of 180

Question ID: 1420419

Which of the following statements is a proper reference to the CFA® designation?

- A) I expect to obtain the CFA designation after I pass the next Level III exam. 
- B) As a CFA charterholder, I am required to comply with high ethical standards. 
- C) As a CFA Level II, I hope to obtain the highest set of credentials in the investment industry. 

Explanation

Referring to oneself as a CFA charterholder and emphasizing a charterholder's ethical requirements are appropriate references to the CFA designation. Candidates should not state an expected date for completing the CFA Program. There is no partial designation for a candidate who has passed the Level I, Level II, or Level III exams. (Study Session 19, Modules 57.1, 58.9, 60.1, LOS 57.b, 57.c, 58.a, 58.b, 58.c, 60.a, 60.b)

For Further Reference:

(Study Session 19, Module 57.1, Module 58.9, Module 60.1, LOS 57.b, 57.c, 58.a, 58.b, 58.c, 60.a, 60.b)

CFA® Program Curriculum, Volume 6, page 499

Question #30 of 180

Question ID: 1420403

Byron Bell, CFA, tells his assistant that Mary Mitchel, a client of his, confided to him that she is suffering from the early stages of Alzheimer's disease and that she is planning to leave almost all of her sizable estate to Prather House, a support facility for Alzheimer's patients. Bell directs his assistant to keep this information confidential. With respect to the Standard on preservation of confidentiality, Bell has:

- A) not violated the Standard. 
- B) violated the Standard by sharing information about his client's health but not about planned bequest to Prather House. 
- C) violated the Standard both by sharing the information about his client's health and about her planned bequest to Prather House. 

Explanation

Bell is permitted to share confidential client information with another firm employee who is also working for the client's benefit, so sharing this information with his assistant is not a violation of Standard III(E) Preservation of Confidentiality.

For Further Reference:

(Study Session 19, Module 58.5, LOS 58.a, 58.b, 58.c)

CFA® Program Curriculum, Volume 6, page 305, 310, and 312

Question #31 of 180

Question ID: 1420256

The slope coefficient of a lin-log model describes a linear relationship between:

- A) relative changes in the dependent variable and relative changes in the independent variable. 
- B) relative changes in the dependent variable and absolute changes in the independent variable. 
- C) absolute changes in the dependent variable and relative changes in the independent variable. 

Explanation

In a lin-log model, the slope coefficient gives the absolute change in the dependent variable for a relative change in the independent variable.

For Further Reference:

(Study Session 2, Module 7.3, LOS 7.h)

CFA® Program Curriculum, Volume 1, page 467

Question #32 of 180

Question ID: 1420276

In accrual accounting, the matching principle states that:

- A) an entity should recognize revenues only when received and expenses only when they are paid. 
- B) transactions and events producing cash flows are allocated only to time periods in which the cash flows occur. 
- C) expenses incurred to generate revenue are recognized in the same time period as the revenue. 

Explanation

The matching principle holds that expenses should be accounted for in the same performance measurement period as the revenue they generate.

For Further Reference:

(Study Session 6, Module 17.3, LOS 17.d)

CFA® Program Curriculum, Volume 3, page 18

Question #33 of 180

Question ID: 1420281

Listed equity securities held as assets that do not convey significant influence in the investee company must be reported at fair value through profit and loss under:

A) IFRS only.



B) U.S. GAAP only.



C) both IFRS and U.S. GAAP.



Explanation

U.S. GAAP categorizes equity investment without significant control as trading securities, reported at fair value with profit and loss reported on the income statement. Under IFRS, firms can report equity securities in this manner, but may elect at the time of purchase to report an equity security at fair value through other comprehensive income.

For Further Reference:

(Study Session 6, Module 18.6, LOS 18.e)

CFA® Program Curriculum, Volume 3, page 69

Question #34 of 180

Question ID: 1420261

Which of the following statements about methods of calculating gross domestic product is *most accurate*?

A) Except for a statistical discrepancy, the income and expenditure approaches to calculating GDP should result in the same value for economic output.



Because it includes activity at all stages of production, the sum-of-value-added

B) method results in a better estimate of GDP than the value-of-final-output method.



C) Value-of-final-output is used to calculate GDP under the expenditure approach, while sum-of-value-added is used to calculate GDP under the income approach.



Explanation

Because aggregate income is the same as aggregate output, measuring GDP by summing incomes or expenditures should produce the same value, except for a statistical discrepancy that results from using different data sources. The sum-of-value-added method of calculating GDP records the sum of the increases in value of goods and services at each stage of their production and distribution. The resulting total for GDP is the same as that reached by the value-of-final-output method because the sum of value added to a good at all stages of processing is equal to its selling price. Both methods calculate GDP based on expenditures.

For Further Reference:

(Study Session 3, Module 10.1, LOS 10.b)

CFA® Program Curriculum, Volume 2, page 121

Question #35 of 180

Question ID: 1420244

Given the observations 45, 20, 30, and 25, the mean absolute deviation is *closest* to:

- A) 0.0. 
- B) 7.5. 
- C) 13.3. 

Explanation

The mean absolute deviation is the mean of the absolute values of the differences between each number and the mean. Because the mean is $(45 + 20 + 30 + 25) / 4 = 30$,

the mean absolute deviation is $\frac{15 + 10 + 0 + 5}{4} = 7.5$.

For Further Reference:

(Study Session 1, Module 2.3, LOS 2.g)

CFA® Program Curriculum, Volume 1, page 103

Question #36 of 180

Question ID: 1420275

The independent auditors of Shadydells, Inc., have determined that the company recorded operating leases that should have been capitalized. This is considered to be a material instance of noncompliance with applicable GAAP, but the financial statements are otherwise fairly presented. Which opinion are the auditors *most likely* to issue?

- A) Adverse opinion. 
- B) Qualified opinion. 
- C) Unqualified opinion. 

Explanation

Auditors issue a qualified opinion when there is a material instance of noncompliance with applicable accounting standards. An unqualified opinion means the auditors believe there is reasonable assurance that the financial statements are free of error and in compliance with applicable accounting standards. An adverse opinion is only issued when the auditors believe the financial statements as a whole are not fairly presented.

For Further Reference:

(Study Session 5, Module 15.2, LOS 15.d)

CFA® Program Curriculum, Volume 2, page 499

Question #37 of 180

Question ID: 1420284

An analyst gathers the following information:

Net income	\$100
Decreased in accounts receivable	30
Depreciation	25
Increase in inventory	17
Increase in accounts payable	10
Decrease in wages payable	5
Increase in deferred taxes	17
Sale of fixed assets	150
Purchase of fixed assets	340
Profit from sale of fixed assets	5
Dividends paid out	35
Sale of new common stock	120

Based on the above information, the company's cash flow from operations under U.S. GAAP is:

- A) \$155. 
- B) \$165. 
- C) \$182. 

Explanation

Net income	+100
Adjustment for noncash and nonoperating items:	
Depreciation	+25
Deferred taxes (increase)	+17
Profit from sale of equipment	-5
Adjustment for working capital items:	
Accounts receivable (decrease)	+30
Inventory (increase)	-17
Accounts payable (increase)	+10
Wages payable (decrease)	<u>-5</u>
Cash flow from operations	<u><u>+\$155</u></u>

Dividends paid are CFF, not CFO.

For Further Reference:

(Study Session 6, Module 19.2, LOS 19.f)

CFA® Program Curriculum, Volume 3, page 137

Question #38 of 180

Question ID: 1420274

The J-curve, in the context of trade between two countries, refers to the fact that when the domestic country has a trade deficit:

- A) appreciation of the domestic currency initially leads to a decrease in the trade deficit but will increase the trade deficit in the long term. 
- B) an increase in domestic inflation will initially increase the trade deficit but will decrease the trade deficit in the long term. 
- C) appreciation of the foreign currency will initially increase the trade deficit but will decrease the trade deficit in the long term. 

Explanation

The J-curve effect refers to a plot of the trade deficit over time when the domestic currency depreciates (the foreign currency appreciates). The trade deficit gets worse initially but then improves over time, either because export and import demand are more elastic in the long run or because existing contracts for future delivery are fixed in foreign currency terms in the short run.

For Further Reference:

(Study Session 4, Module 14.3, LOS 14.j)

CFA® Program Curriculum, Volume 2, page 451

Question #39 of 180

Question ID: 1420271

Which of the following organizations is the most focused on promoting economic growth and reducing poverty by offering both monetary and technical assistance?

- A) World Bank. 
- B) World Trade Organization. 
- C) International Monetary Fund. 

Explanation

Promoting economic growth and reducing world poverty are among the primary goals of the World Bank. The IMF primarily promotes the growth of international trade, supports exchange rate stability, and provides a forum for cooperation on monetary problems internationally. The WTO has a primary focus on reaching trade agreements and settling trade disputes.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.j)

CFA® Program Curriculum, Volume 2, page 388

Question #40 of 180

Question ID: 1420266

The quantity theory of money states that in a full employment economy, any increase in the supply of money in excess of the rate of growth of real GDP will lead to a proportional increase in:

- A) the price level. 
- B) velocity. 
- C) real GDP. 

Explanation

The quantity theory of money hypothesizes that a change in the money supply, at full employment, will cause a proportional change in the price level because velocity and real output will be unaffected. According to the equation of exchange, $MV = PY$, output of goods and services produced, Y , at full employment cannot change, so the price level, P , must increase.

For Further Reference:

(Study Session 4, Module 12.1, LOS 12.c)

CFA® Program Curriculum, Volume 2, page 272

Question #41 of 180

Question ID: 1420248

An investor wants to buy a condominium in Florida. The value of her portfolio is currently \$1,000,000, and she needs \$100,000 in one year for the down payment. She doesn't mind decreasing her capital as long she has \$950,000 remaining in her portfolio after the down payment is made. She is considering three new portfolios for her holdings. The details on the three portfolios are:

	Expected Annual Return	Standard Deviation of Returns
Portfolio 1	17%	15%
Portfolio 2	12%	10%
Portfolio 3	8%	6%

According to Roy's Safety-First criterion, the portfolio she would prefer is:

- A) Portfolio 1.
- B) Portfolio 2.
- C) Portfolio 3.



Explanation

As long as the investor earns at least a 5% return over the next year, the value of her portfolio after deducting the \$100,000 down payment will not fall below \$950,000. We first calculate the SFRatio for each of the two possible portfolios. We know that:

$$\text{SFRatio} = \frac{[E(R_p) - R_L]}{\sigma_p}$$

$$\text{SFRatio}_1 = \frac{17-5}{15} = 0.8$$

$$\text{SFRatio}_2 = \frac{12-5}{10} = 0.7$$

$$\text{SFRatio}_3 = \frac{8-5}{6} = 0.5$$

The SFRatio is the number of standard deviations that the minimum return is below the mean (expected) return. The optimal portfolio is the one with the greatest SFRatio as it has the lowest probability of a return below the minimum. Based on the SFRatio, the investor would prefer Portfolio 1.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.k)

CFA® Program Curriculum, Volume 1, page 265

Question #42 of 180

Question ID: 1420296

A lessor will recognize a lease receivable asset if the lease is classified as:

- A) an operating lease. 
- B) a finance lease. 
- C) either an operating or a finance lease. 

Explanation

With a finance lease, the lessor will recognize a lease receivable asset and amortize it over the lease term. With an operating lease, the lessor retains the leased asset on its balance sheet and records depreciation expense over its useful life.

For Further Reference:

(Study Session 7, Module 24.4, LOS 24.h)

CFA® Program Curriculum, Volume 3, page 463

Question #43 of 180

Question ID: 1420242

An investor would like to purchase a 20-year annuity that will pay \$45,000 each year beginning when she retires 15 years from now. The amount she would need to invest today to fund this annuity, assuming an annual return of 5%, in order fund this annuity, is *closest* to:

- A) \$269,750.
- B) \$274,340.
- C) \$283,240.



Explanation

The amount needed to fund the annuity at $t=15$ is \$588,839. In BGN mode: $N = 20$; $I/Y = 5$; $PMT = 45,000$; $FV = 0$; CPT PV. The equivalent amount at $t=0$ is $\$588,839 / (1.05)^{15} = \$283,242$.

For Further Reference:

(Study Session 1, Module 1.3, LOS 1.e)

CFA® Program Curriculum, Volume 1, page 17

Question #44 of 180

Question ID: 1420250

Adam Farman has been asked to estimate the volatility of a technology stock index. He has identified a statistic which has an expected value equal to the population volatility and has determined that increasing his sample size will decrease the sampling error for this statistic. Based only on these properties, his statistic can *best* be described as:

- A) unbiased and efficient.
- B) unbiased and consistent.
- C) efficient and consistent.



Explanation

An unbiased estimator has an expected value equal to the true value of the population parameter. A consistent estimator is more accurate the greater the sample size. An efficient estimator has the sampling distribution that is less than that of any other unbiased estimator.

For Further Reference:

(Study Session 2, Module 5.1, LOS 5.f)

CFA® Program Curriculum, Volume 1, page 322

Question #45 of 180

Question ID: 1420257

A plant manager observes the following relationship between hours of labor and units of output:

Labor hours	Units of output
1,400	140,000
1,500	150,000
1,600	165,000
1,700	175,000
1,800	180,000
1,900	170,000

At what quantity of labor hours does this plant first experience diminishing marginal returns to labor?

- A) Between 1,400 and 1,500 hours. 
- B) Between 1,600 and 1,700 hours. 
- C) Between 1,800 and 1,900 hours. 

Explanation

Diminishing marginal returns occur when an additional unit of an input will produce a smaller gain in output than the previous unit of the input. In this case, marginal returns are increasing with up to 1,600 hours of labor input and begin decreasing between 1,600 and 1,700 hours of labor input.

For Further Reference:

(Study Session 3, Module 8.2, LOS 8.d)

CFA® Program Curriculum, Volume 2, page 23

Question #46 of 180

Question ID: 1420279

Which of the following types of items are *least likely* included in other comprehensive income?

- A) Losses under the revaluation model. 
- B) Unrealized gains on equity securities. 
- C) Realized gains on securities classified as available-for-sale. 

Explanation

Realized gains on investment securities are reported on the income statement under both IFRS and U.S. GAAP. The other two types of gains may be reported as other comprehensive income under certain circumstances.

For Further Reference:

(Study Session 6, Module 17.5, LOS 17.k)

CFA® Program Curriculum, Volume 3, page 49

Question #47 of 180

Question ID: 1420252

A researcher has investigated the returns over the last five years to a long-short strategy based on mean reversion in equity returns volatility. His hypothesis test led to rejection of the hypothesis that abnormal (risk-adjusted) returns to the strategy over the period were less than or equal to zero at the 1% level of significance. He would *most* appropriately decide that:

- A) his firm should employ the strategy for client accounts because the abnormal returns are positive and statistically significant. 
- B) while the abnormal returns are highly significant statistically, they may not be economically meaningful. 
- C) as long as the estimated statistical returns are greater than the transactions costs of the strategy, his firm should employ the strategy for client accounts. 

Explanation

There are many reasons that a statistically significant result may not be economically significant (meaningful). Besides transactions costs, we must consider the risk of the strategy as well. For example, although the mean abnormal return to the strategy over the 5-year sample period is greater than transactions costs, abnormal returns for various sub-periods may be highly variable. In this case the risk of the strategy return from month to month or quarter to quarter may be too great to make employing the strategy in client accounts economically attractive.

For Further Reference:

(Study Session 2, Module 6.1, LOS 6.d)

CFA® Program Curriculum, Volume 1, page 366

Question #48 of 180

Question ID: 1420475

During a period when net income is unexpectedly weak, managers who attempt to smooth earnings are *most likely* to:

- A) capitalize an expense. 
- B) decrease the estimated lives of assets. 
- C) classify a nonrecurring gain as recurring income. 

Explanation

Management may attempt to increase reported earnings in the current period by capitalizing an expense. Classifying a nonrecurring gain as recurring income would not increase net income because it already includes nonrecurring gains. Decreasing the estimated lives of assets would increase depreciation expense and decrease income in the current period.

For Further Reference:

(Study Session 8, Module 25.2, LOS 25.h)

CFA® Program Curriculum, Volume 3, page 518

Question #49 of 180

Question ID: 1420299

Which of the following pairs of general categories are *least likely* to be considered in the formulas used by credit rating agencies to determine the capacity of a borrower to repay a debt?

- A) Operational efficiency; leverage. 
- B) Margin stability; availability of collateral. 
- C) Leverage; scale and diversification. 

Explanation

The four general categories are: (1) scale and diversification, (2) operational efficiency, (3) margin stability, and (4) leverage. Larger companies and those with more different product lines and greater geographic diversification are better credit risks. High operating efficiency is indicative of a better credit risk. Stable profit margins indicate a higher probability of repayment and thus, a better credit risk. Firms with greater earnings in relation to their debt level are better credit risks. While the availability of collateral certainly reduces lender risk, it is not one of the general categories used by credit rating agencies to determine *capacity* to repay. Specifically, they would consider (1) several specific accounting ratios and (2) business characteristics. The availability of collateral falls into neither category.

For Further Reference:

(Study Session 8, Module 26.2, LOS 26.c)

CFA® Program Curriculum, Volume 3, page 576

Question #50 of 180

Question ID: 1420267

Under what conditions is inflation *most likely* to shift wealth from lenders to borrowers?

- A) Only when inflation is unexpected.
- B) Only when inflation is unexpected and negative.
- C) When inflation is either unexpected or expected.

**Explanation**

Inflation that is unexpected, or higher than expected, shifts wealth from lenders to borrowers. Unexpected deflation has the opposite effect. Because interest rates include a premium for expected inflation, an inflation rate that matches expectations does not shift wealth from lenders to borrowers.

For Further Reference:

(Study Session 4, Module 12.1, LOS 12.g)

CFA® Program Curriculum, Volume 2, page 289

Question #51 of 180

Question ID: 1420502

A monopolist is *most likely* to:

- A) maximize the average profit per unit sold.
- B) charge the highest price for which it can sell its product.
- C) produce where marginal revenue equals marginal cost.

**Explanation**

Like all price searchers, monopolists will expand output until marginal revenue equals marginal cost. Monopolists do not charge the highest possible price which would be the price resulting in only one sale. A monopolist seeks to maximize profit, not price.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.d)

CFA® Program Curriculum, Volume 2, page 77

Question #52 of 180

Question ID: 1420292

Which of the following definitions used in accounting for income taxes is *least accurate*?

- A) Income tax expense is current period taxes payable adjusted for any changes in deferred tax assets and liabilities. 
- B) A valuation allowance is a reserve against deferred tax assets based on the likelihood that those assets will not be realized. 
- C) A deferred tax liability is created when tax expense is less than taxes payable and the difference is expected to reverse in future years. 

Explanation

Deferred tax liability refers to balance sheet amounts that are created when tax expense is greater than taxes payable.

For Further Reference:

(Study Session 7, Module 23.1, LOS 23.a)

CFA® Program Curriculum, Volume 3, page 398

Question #53 of 180

Question ID: 1420245

The following table summarizes the results of a poll taken of CEOs and analysts about the economic impact of a pending piece of legislation:

Group	Number of Respondents who Predict Positive Impact	Number of Respondents who Predict Negative Impact
CEOs	40	30
Analysts	70	60

What is the probability that a randomly selected individual from this group will be either an analyst or someone who thinks this legislation will have a positive impact on the economy?

- A) 0.75. 
- B) 0.80. 
- C) 0.85. 

Explanation

Using the addition rule for probabilities, $P(\text{analyst or positive}) = P(\text{analyst}) + P(\text{positive}) - P(\text{analyst and positive})$. $P(A \text{ or positive}) = 130 / 200 + 110 / 200 - (70 / 200) = 0.65 + 0.55 - 0.35 = 0.85$. Alternatively, CEOs that predict positive impact = 40, analysts = 130, Prob (CEO positive or analyst) = $(40 + 130) / 200 = 85\%$.

For Further Reference:

(Study Session 1, Module 3.1, LOS 3.e)

CFA® Program Curriculum, Volume 1, page 182

Question #54 of 180

Question ID: 1420272

Which of the following objectives would a national government *most likely* pursue by placing restrictions on inflows of foreign capital?

- A) Protecting domestic industries. 
- B) Supporting domestic asset prices. 
- C) Keeping domestic interest rates low. 

Explanation

National governments may seek to limit foreign investment in certain domestic industries, for example, those that are seen as essential for national defense. A government seeking to keep domestic interest rates low or support domestic asset prices would be more likely to restrict capital outflows.

For Further Reference:

(Study Session 4, Module 13.2, LOS 13.g)

CFA® Program Curriculum, Volume 2, page 373

Question #55 of 180

Question ID: 1420294

Under U.S. GAAP, which of the following statements about the financial statement effects of issuing bonds is *least accurate*?

- A) Issuance of debt has no effect on cash flow from operations. 
- B) Periodic interest payments decrease cash flow from operations by the amount of interest paid. 
- C) Payment of debt at maturity decreases cash flow from operations by the face value of the debt. 

Explanation

Issuing debt results in a cash inflow from financing. Payment of debt at maturity has no effect on cash flow from operations but decreases cash flow from financing by the face value of the debt.

For Further Reference:

(Study Session 7, Module 24.2, LOS 24.b)

CFA® Program Curriculum, Volume 3, page 440

Question #56 of 180

Question ID: 1420293

When an increase in the tax rate is enacted, deferred tax:

- A) assets and liabilities both increase in value. 
- B) assets decrease in value and deferred tax liabilities increase in value. 
- C) liability and asset accounts are maintained at historical tax rates until they reverse. 

Explanation

The liability method (SFAS 109 of U.S. GAAP) takes a balance sheet approach and adjusts deferred tax assets and liabilities to future tax rates. An increase in the tax rate increases the value of both deferred tax assets and deferred tax liabilities.

For Further Reference:

(Study Session 7, Module 23.4, LOS 23.e)

CFA® Program Curriculum, Volume 3, page 407

Question #57 of 180

Question ID: 1420255

Which of the following tests would generally be considered a nonparametric test?

- A) Test of whether a sample is random. 
- B) Large sample test of the value of a population mean. 
- C) Value of the variance of a normal population. 

Explanation

Nonparametric tests can be used in a variety of instances where the assumptions required for parametric tests cannot be sustained. A runs test can be used to test for the randomness of a sample. Both of the other tests are parametric because they test the value of a parameter of the underlying distribution.

For Further Reference:

(Study Session 2, Module 6.4, LOS 6.k)

CFA® Program Curriculum, Volume 1, page 396

Question #58 of 180

Question ID: 1420289

In periods of rising prices and stable or increasing inventory quantities, compared with companies that use LIFO inventory accounting, companies that use the FIFO method will have:

- A) higher COGS and lower taxes. 
- B) higher net income and higher taxes. 
- C) lower inventory balances and lower working capital. 

Explanation

FIFO companies have higher net income, lower COGS, higher inventory, and higher taxes.

For Further Reference:

(Study Session 7, Module 21.5, LOS 21.I)

CFA® Program Curriculum, Volume 3, page 284

Question #59 of 180

Question ID: 1420262

Long-run aggregate supply is *least likely* to be affected by changes in the:

- A) prices of raw materials inputs. 
- B) quantity of labor in the economy. 
- C) level of technology. 

Explanation

Long-run aggregate supply is related to the level of technology and the available quantities of labor and capital. If the prices of productive inputs increase, short-run aggregate supply decreases (the SRAS curve shifts to the left), but long-run aggregate supply (potential real GDP) is unaffected.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.m)

CFA® Program Curriculum, Volume 2, page 171

Question #60 of 180

Question ID: 1420290

Which of the following accounting practices is *most likely* to decrease reported earnings in the current period?

- A) Using the straight-line method of depreciation instead of an accelerated method. 
- B) Capitalizing advertising expenses rather than expensing them in the current period. 
- C) Using LIFO inventory cost methods during a period of rising prices. 

Explanation

LIFO will result in lower net income than FIFO in the current period, during a period of rising prices. The other choices will tend to increase current period earnings.

For Further Reference:

(Study Session 7, Module 22.2, LOS 22.e)

CFA® Program Curriculum, Volume 3, page 342

Question #61 of 180

Question ID: 1420241

A client plans to retire in 15 years and will need to withdraw \$50,000 from his retirement account each year for 10 years, beginning on the day he retires. After that, he will need to withdraw \$20,000 per year for 25 years. The account returns 4% annually. The amount he needs to have in the account on the day he retires is *closest* to:

- A) \$580,000. 
- B) \$640,000. 
- C) \$655,000. 

Explanation

We can treat these cash flows as a 35-year annuity due of \$20,000 per year plus a 10-year annuity due of an additional \$30,000 per year. With calculator in BGN mode:

\$20,000 per year for 35 years: $N = 35$, $PMT = 20,000$, $I/Y = 4$, $FV = 0$; CPT PV
= -388,224

\$30,000 per year for 10 years: $N = 10$, $PMT = 30,000$, $I/Y = 4$, $FV = 0$; CPT PV
= -253,060

Total: \$641,284

For Further Reference:

(Study Session 1, Module 1.2, LOS 1.f)

CFA® Program Curriculum, Volume 1, page 17

Question #62 of 180

Question ID: 1420268

If investors' expected future incomes increase and the demand for financial capital increases, other things equal:

- A) the equilibrium interest rate will rise. 
- B) the equilibrium interest rate will fall. 
- C) these two factors will have opposing effects on the equilibrium interest rate. 

Explanation

Increases in expected future incomes will decrease savings, which will decrease the supply of financial capital and increase the equilibrium interest rate. If the demand for financial capital rises, interest rates also rise; so both changes tend to increase the equilibrium interest rate.

For Further Reference:

(Study Session 4, Module 12.1, LOS 12.d)

CFA® Program Curriculum, Volume 2, page 278

Question #63 of 180

Question ID: 1420285

Selected year-end values for Able, Inc., are presented in the following tables:

Balance Sheet Items			December 31, 20X2	December 31, 20X1
Accounts receivable		\$19 million		\$21 million
Trade payables		\$14 million		\$16 million
Inventory		\$31 million		\$28 million

Income Statement Items			December 31, 20X2
Net income		\$42 million	
Loss on sale		\$3 million	
Depreciation		\$2 million	
Dividends paid		\$1 million	

Based only on the data in the tables, 20X2 cash flow for operations for Able, Inc., is:

- A) \$43 million. 
- B) \$44 million. 
- C) \$45 million. 

Explanation

Starting with net income of 42, add 2 for the decrease in receivables (a source of cash), subtract 2 for the decrease in payables (a use of cash), subtract 3 for the increase in inventory (a use of cash), add 3 for the loss (a non-CFO item), and add 2 for depreciation (a noncash item), resulting in CFO = \$44 million. Note that the balance sheet items are presented from right to left.

For Further Reference:

(Study Session 6, Module 19.3, LOS 19.g)

CFA® Program Curriculum, Volume 3, page 149

Question #64 of 180

Question ID: 1420280

Which of the following items affects owners' equity but is not included as a component of net income?

- A) Depreciation. 
- B) Dividends received on shares of another company classified as available for sale. 
- C) Foreign currency translation gains and losses. 

Explanation

Foreign currency translation gains and losses are not reported on the income statement as a component of net income, but affect owners' equity because they are included as other comprehensive income. The other items are included on the income statement so they affect both net income and owners' equity.

For Further Reference:

(Study Session 6, Module 17.5, LOS 17.I)

CFA® Program Curriculum, Volume 3, page 49

Question #65 of 180

Question ID: 1420288

Gordon, Inc., reports using the LIFO cost method. In notes to its financial statements, Gordon discloses inventory of 500 units in 20X1 and 510 units in 20X2 and states a LIFO reserve of \$50,000 in 20X1 and \$48,000 in 20X2. These inventory disclosures *most likely* reflect:

A) decreasing demand.



B) decreasing prices.



C) a LIFO liquidation.



Explanation

Decreasing prices can cause the LIFO reserve to decrease even when the inventory quantity is stable or increasing. A LIFO liquidation is a decrease in the quantity of inventory. To look for an indication of decreasing demand, an analyst would compare the growth rates of inventories and sales.

For Further Reference:

(Study Session 7, Module 21.4, LOS 21.j)

CFA® Program Curriculum, Volume 3, page 282

Question #66 of 180

Question ID: 1420251

Excerpts from statistical tables:

Student's t-Distribution

Level of Significance for Two-Tailed Test			
df	0.10	0.05	0.01
27	1.703	2.052	2.771
28	1.701	2.048	2.763
29	1.699	2.045	2.756

Cumulative z-Table

z	0.07	0.08	0.09
1.2	0.8980	0.8997	0.9015
1.3	0.9147	0.9162	0.9177
1.4	0.9292	0.9306	0.9319

An analyst has a sample of 28 observations of the weekly return of an index portfolio that includes 50 stocks. The weekly returns are approximately normally distributed, and the sample mean and sample variance are 1.2% and 0.00175. A 90% confidence interval for a weekly return is *closest* to:

- A) 0.19% to 2.21%.
- B) -0.15% to 2.55%.
- C) -5.92% to 8.32%.



Explanation

The sample standard deviation is $(0.00175)^{1/2} = 4.18\%$. Based on a t-distribution with 27 degrees of freedom, a 90% confidence interval for the mean is $1.2\% \pm 1.703 \times (4.18\% / 28^{1/2}) = -0.1453\%$ to 2.5453% .

For Further Reference:

(Study Session 2, Module 5.2, LOS 5.h)

CFA® Program Curriculum, Volume 1, page 326

Question #67 of 180

Question ID: 1420253

Which of the following statements regarding the significance level of a hypothesis test is *most accurate*?

- A) Given a significance level of 5%, a test will reject a true null hypothesis 5% of the time. 
- B) If the significance level of a test is 5%, it will yield the correct decision about the null hypothesis 95% of the time. 
- C) If the significance level of a test is 95%, it will yield the correct decision about the null hypothesis 95% of the time. 

Explanation

The significance level of a test is the probability that a true null hypothesis will be rejected by chance because the test statistic is from a sample and may take on a value that is outside the range of critical values because of sampling error. Choice B is incorrect because the probability of making a correct decision also must account for the probability of failing to reject a false null hypothesis.

For Further Reference:

(Study Session 2, Module 6.1, LOS 6.c)

CFA® Program Curriculum, Volume 1, page 363

Question #68 of 180

Question ID: 1420270

The country of Hokah can produce 35 units of cheese or 30 units of leather with one hour of labor. The country of Ymer can produce 20 units of cheese or 25 units of leather with one hour of labor. Which of the following statements is *most accurate*?

- A) Ymer's opportunity cost of one unit of leather is 0.80 units of cheese. 
- B) Hokah's opportunity cost of one unit of cheese is 1.167 units of leather. 
- C) Hokah has an absolute and a comparative advantage in both cheese and leather. 

Explanation

The opportunity cost of one unit of leather for Ymer is $20 / 25 = 0.80$ units of cheese, and the opportunity cost of one unit of cheese is $25 / 20 = 1.25$ units of leather. The opportunity cost of one unit of cheese for Hokah is $30 / 35 = 0.86$ units of leather, and the opportunity cost of one unit of leather is $35 / 30 = 1.167$ units of cheese. Hokah has an absolute advantage in both cheese and leather but has a comparative advantage only in cheese.

For Further Reference:

(Study Session 4, Module 13.1, LOS 13.c)

CFA® Program Curriculum, Volume 2, page 354

Question #69 of 180

Question ID: 1420300

A company using LIFO reports the following:

- Cost of goods sold was \$27,000.
- Beginning inventory was \$6,500, and ending inventory was \$6,200.
- The beginning LIFO reserve was \$1,200.
- The ending LIFO reserve was \$1,400.

The *best* estimate of the company's cost of goods sold on a FIFO basis would be:

A) \$21,300.



B) \$26,800.



C) \$27,500.



Explanation

COGS FIFO = COGS LIFO – (ending LIFO reserve – beginning LIFO reserve)

$$\text{COGS FIFO} = 27,000 - (1,400 - 1,200) = \$26,800.$$

For Further Reference:

(Study Session 8, Module 26.2, LOS 26.e)

CFA® Program Curriculum, Volume 3, page 581

Question #70 of 180

Question ID: 1420263

Short-run disequilibrium is *most likely* to be associated with a decreasing price level if it results from a decrease in:

A) both aggregate demand and short-run aggregate supply.



B) aggregate demand, if short-run aggregate supply is unchanged.



C) short-run aggregate supply, if aggregate demand is unchanged.



Explanation

A decrease in aggregate demand, holding short-run aggregate supply constant, would decrease the price level. A decrease in short-run aggregate supply, holding aggregate demand constant, would increase the price level. If both aggregate demand and short-run aggregate supply decrease, the price level may increase or decrease.

For Further Reference:

(Study Session 3, Module 10.3, LOS 10.j)

CFA® Program Curriculum, Volume 2, page 160

Question #71 of 180

Question ID: 1420243

Categorical data can be:

- A) nominal, but not ordinal.
- B) ordinal, but not nominal.
- C) either nominal or ordinal.

**Explanation**

Categorical data are labels for grouping data. They can be nominal for groups that cannot be placed in a logical order or ordinal for groups that can be placed in a logical order.

For Further Reference:

(Study Session 1, Module 2.1, LOS 2.a)

CFA® Program Curriculum, Volume 1, page 64

Question #72 of 180

Question ID: 1420278

An analyst gathered the following data about a company:

- 1,000,000 shares of common are outstanding at the beginning of the year.
- 10,000 6% convertible bonds (conversion ratio is 20 to 1) were issued at par June 30 of this year.
- The company has 100,000 warrants outstanding all year with an exercise price of \$25 per share.
- The average stock price for the period is \$20, and the ending stock price is \$30.

If the convertible bonds are considered dilutive, the number of shares of common stock that the analyst should use to calculate diluted earnings per share is:

- A) 1,000,000.
- B) 1,100,000.
- C) 1,266,667.

**Explanation**

When the capital structure contains options or warrants, the treasury stock method uses the average price. In this situation, the warrants are antidilutive because the exercise price of the warrant (\$25) is higher than the market price of the stock (\$20). Thus, warrants are excluded. Otherwise, common shares would be reduced.

$$\text{original shares of common stock} = 1,000,000 \left(\frac{12}{12} \right)$$

Then add the impact of the bond conversion:

$$(10,000)(20) \times (6/12) = 100,000$$

Thus, the adjusted denominator for fully diluted EPS is:

$$1,000,000 + 100,000 = 1,100,000$$

For Further Reference:

(Study Session 6, Module 17.4, LOS 17.h)

CFA® Program Curriculum, Volume 3, page 43

Question #73 of 180

Question ID: 1420291

Degen, Inc., owns a trademark which it originally valued at €15 million on its balance sheet but currently values at €10 million. In the country where Degen is incorporated, trademarks are protected by law for as long as their owner remains a going concern. Degen has *most likely*:

- A) developed its trademark at a cost of €15 million. 
- B) recorded amortization expense of €5 million on its trademark. 
- C) recognized €5 million of impairment charges on its trademark. 

Explanation

The trademark is an intangible asset with an indefinite life, and its cost is not amortized. The decrease in the trademark's balance sheet value must be the result of impairment. For the intangible asset to appear on the balance sheet, Degen must have purchased the trademark. If Degen had developed the trademark internally, it would have expensed the cost rather than capitalizing it to the balance sheet.

For Further Reference:

(Study Session 7, Module 22.3, LOS 22.i)

CFA® Program Curriculum, Volume 3, page 356

Question #74 of 180

Question ID: 1420260

If the government regulates a natural monopoly and enforces an average cost pricing, what are the effects on output quantity and price compared to an unregulated natural monopoly?

- A) Both are lower under average cost pricing. 
- B) Both are higher under average cost pricing. 
- C) One is higher and one is lower under average cost pricing. 

Explanation

Average cost pricing is meant to force a natural monopolist to reduce price to where the firm's average total cost intersects the market demand curve. This results in higher output and a lower price than would prevail for an unregulated natural monopoly.

For Further Reference:

(Study Session 3, Module 9.4, LOS 9.e)

CFA[®] Program Curriculum, Volume 2, page 82

Question #75 of 180

Question ID: 1420273

Assume that one year ago, the exchange rate between the Japanese yen and the euro was 100 JPY/EUR, and the exchange rate between the Japanese yen and the U.S. dollar was 80 JPY/USD. Current exchange rates are 104.2 JPY/EUR and 76.6 JPY/USD. Which of the following statements is *most accurate*?

- A) The USD has depreciated relative to the EUR. 
- B) The JPY has depreciated 4.2% relative to the EUR. 
- C) The current U.S. dollar to euro exchange rate is approximately 1.25 USD/EUR. 

Explanation

We can calculate the current USD/EUR cross rate as $104.2 / 76.6 = 1.3603$ USD/EUR. The original USD/EUR cross rate was $100 / 80 = 1.2500$ USD/EUR. Thus, the USD has depreciated relative to the EUR. While it is correct to say that the EUR has appreciated 4.2% relative to the JPY ($104.2 / 100 - 1 = 4.2\%$), it is not correct to say that the JPY has depreciated by the same percentage. To calculate the percentage change in the JPY relative to the EUR, we need to invert the quotes. One year ago, the quote was 0.0100 EUR/JPY and now the quote is 0.0096 EUR/JPY. $(0.0096 / 0.0100 - 1) = 0.0403$ or 4.0% depreciation in the JPY relative to the EUR.

For Further Reference:

(Study Session 4, Module 14.1, LOS 14.d)

CFA[®] Program Curriculum, Volume 2, page 428

Question #76 of 180

Question ID: 1420286

An analyst gathered the following information about a company:

Cash flow from operations	\$800
Purchase of plant and equipment	40
Sale of land	30
Interest expense	80
Depreciation and amortization	100

The company has a tax rate of 35% and prepares its financial statements under U.S. GAAP.

The company's free cash flow to the firm (FCFF) is *closest* to:

- A) \$840. 
- B) \$870. 
- C) \$940. 

Explanation

FCFF = Cash flow from operations + interest expense net of tax – net capital expenditures

$$\text{FCFF} = \$800 + 80(1 - 0.35) - 40 + 30 = \$842$$

Depreciation and amortization do not have to be added when calculating FCFF from CFO. They are added when calculating FCFF from net income.

For Further Reference:

(Study Session 6, Module 19.4, LOS 19.i)

CFA® Program Curriculum, Volume 3, page 160

Question #77 of 180

Question ID: 1420254

An analyst is testing the hypothesis that the variance of monthly returns for Index L equals the variance of monthly returns for Index M based on samples of 50 monthly observations. The sample variance of Index L returns is 0.085, whereas the sample variance of Index M returns is 0.084. Assuming the samples are independent and the returns are normally distributed, which of the following represents the *most appropriate* test statistic?

- A) $\frac{\text{sample variance of Index L}}{\text{sample variance of Index M}}$ ✓
- B) $\frac{\text{variance of Index L} - \text{variance of Index M}}{\text{standard error of squared differences}}$ ✗
- C) $\frac{(\text{degrees of freedom}) \times (\text{Index L sample variance})}{\text{Index M sample variance}}$ ✗

Explanation

The appropriate test is an *F*-test, where the larger sample variance (Index L) is placed in the numerator.

For Further Reference:

(Study Session 2, Module 6.3, LOS 6.j)

CFA® Program Curriculum, Volume 1, page 388

Question #78 of 180

Question ID: 1420277

Harding Corp. has a permanently impaired asset. The difference between its carrying value and the present value of its expected cash flows should be written down immediately and:

- A) reported as an operating loss. ✓
- B) charged directly against retained earnings. ✗
- C) reported as a non-operating loss in other comprehensive income. ✗

Explanation

Impairment writedowns are reported losses "above the line" and are included in income from continuing operations.

For Further Reference:

(Study Session 6, Module 17.3, LOS 17.e)

CFA® Program Curriculum, Volume 3, page 28

Question #79 of 180

Question ID: 1420295

If market interest rates have changed materially since a firm issued a bond, and the firm uses the effective interest rate method, how is a change in the market value of the firm's debt *most likely* to be reported in the firm's financial statements?

- A) The gain or loss in market value must be calculated and disclosed in the footnotes to the financial statements. 
- B) Net income and equity are unaffected, but the change may be discussed in management's commentary. 
- C) Net income is unaffected, but the change in market value is recorded in other comprehensive income. 

Explanation

Material changes in the firm's cost of debt capital should be included in the Management Discussion and Analysis section of the financial statements. If the firm does not use fair value reporting of debt obligations, net income and shareholders' equity are not affected by changes in the market value of the firm's debt, and disclosing its gain or loss in market value is not required.

For Further Reference:

(Study Session 7, Module 24.3, LOS 24.e)

CFA® Program Curriculum, Volume 3, page 453

Question #80 of 180

Question ID: 1420246

If the probability of event J multiplied by the probability of event K is not equal to the joint probability of events J and K, then events J and K are *most likely*:

- A) dependent events. 
- B) independent events. 
- C) mutually exclusive events. 

Explanation

Events J and K are dependent. By the multiplication rule, joint probability $P(JK) = P(J|K) \times P(K)$, or $P(JK) = P(K|J) \times P(J)$. Events are independent if $P(J|K) = P(J)$ and $P(K|J) = P(K)$. This implies that for independent events, $P(JK) = P(J) \times P(K)$. If this condition is not met, events J and K are dependent. If events J and K are mutually exclusive, their joint probability is zero. The information given is consistent with this but not sufficient to conclude that this is the case.

For Further Reference:

(Study Session 1, Module 3.2, LOS 3.f)

CFA® Program Curriculum, Volume 1, page 186

Question #81 of 180

Question ID: 1420247

A random variable follows a discrete uniform distribution with possible outcomes of 2, 4, 6, and 12. The standard deviation of the random variable is *closest* to:

- A) 3.50. 
- B) 3.75. 
- C) 4.00. 

Explanation

The expected value of the random variable is $(2 + 4 + 6 + 12) / 4 = 6$.

The variance of the random variable is $0.25(2 - 6)^2 + 0.25(4 - 6)^2 + 0.25(6 - 6)^2 + 0.25(12 - 6)^2 = 14$.

Standard deviation is $\sqrt{14} \approx 3.74$.

For Further Reference:

(Study Session 1, Module 3.2, LOS 3.h and Study Session 2, Module 4.1, LOS 4.c)

CFA® Program Curriculum, Volume 1, page 244

Question #82 of 180

Question ID: 1420265

If the inflation rate was -4% in 20X1, -2% in 20X2, and -1% in 20X3, the economy is *most accurately* described as experiencing:

- A) deflation. 
- B) contraction. 
- C) disinflation. 

Explanation

If the inflation rate is negative, an economy is said to be experiencing deflation. Deflation is often, but not necessarily, associated with business cycle contractions.

For Further Reference:

(Study Session 3, Module 11.2, LOS 11.g)

CFA® Program Curriculum, Volume 2, page 240

Question #83 of 180

Question ID: 1420264

Credit cycles are *most likely* to:

- A) dampen business cycles. 
- B) coincide with business cycles. 
- C) have longer durations than business cycles. 

Explanation

Historically, credit cycles have been longer, on average, than business cycles. Credit cycles tend to amplify, not dampen, business cycles.

For Further Reference:

(Study Session 3, Module 11.1, LOS 11.b)

CFA® Program Curriculum, Volume 2, page 207

Question #84 of 180

Question ID: 1420258

An individual sees her income rise from \$80,000 to \$88,000, and along with it, her consumption of Good X has decreased from eight dozen packages per year to six dozen packages per year. Good X should be classified as:

- A) a normal good. 
- B) a Veblen good. 
- C) an inferior good. 

Explanation

An inferior good is one that experiences a decline in demand when income rises.

For Further Reference:

(Study Session 3, Module 8.2, LOS 8.c)

CFA® Program Curriculum, Volume 2, page 18

Question #85 of 180

Question ID: 1420282

The direct method of reporting operating cash flow:

- A) is preferred by analysts and commercial lenders. 
- B) is the most frequently used method under both U.S. GAAP and IFRS. 

- C) shows the reasons for differences between net income and operating cash flows.



Explanation

The direct method is preferred by analysts and commercial lenders because it gives information about specific types of operating cash flows that is useful in determining a company's future financing needs and ability to repay debt. The indirect method shows the reasons for differences between net income and operating cash flows.

For Further Reference:

(Study Session 6, Module 19.1, LOS 19.e)

CFA® Program Curriculum, Volume 3, page 135

Question #86 of 180

Question ID: 1420297

Jordan Loney, CFA, issues a "sell" recommendation on Sullivan Company because she believes its financial reporting quality is low. Loney writes, "Rapid turnover of key employees in its information systems and accounting units have made Sullivan's internal monitoring controls ineffective." Which condition that may lead to low-quality financial reporting has Loney detected at Sullivan?

A) Opportunity.



B) Motivation.



C) Rationalization.



Explanation

Ineffective internal controls over accounting may provide opportunities for low-quality financial reporting.

For Further Reference:

(Study Session 8, Module 25.1, LOS 25.e)

CFA® Program Curriculum, Volume 3, page 508

Question #87 of 180

Question ID: 1420269

The Keynesian view suggests that the government can reduce aggregate demand by using:

- A) restrictive fiscal policy to shift the government budget toward a surplus (or smaller deficit). 
- B) restrictive fiscal policy to shift the government budget toward a deficit (or a smaller surplus). 
- C) expansionary fiscal policy to shift the government budget toward a surplus (or a smaller deficit). 

Explanation

According to the Keynesians, policymakers can use the budget to diminish aggregate demand through restrictive fiscal policy. Reducing government expenditures and/or increasing tax rates should lead to a decline in the expected size of the budget deficit or an increase in the budget surplus.

For Further Reference:

(Study Session 4, Module 12.3, LOS 12.s)

CFA® Program Curriculum, Volume 2, page 326

Question #88 of 180

Question ID: 1420287

At the beginning of the year, a firm securitizes half of its accounts receivable and uses the proceeds to pay down principal on a long-term bank loan. These transactions will:

- A) increase the firm's current ratio. 
- B) decrease the firm's debt-to-equity ratio. 
- C) decrease the firm's interest coverage ratio. 

Explanation

Securitizing accounts receivable means the firm sells them to a special purpose entity that will issue asset-backed securities. This transaction will remove these accounts receivable from the firm's balance sheet. Using the proceeds to retire long-term debt will decrease liabilities by the same amount. Shareholders' equity is not affected. Therefore, the debt-to-equity ratio will decrease. The current ratio will decrease because accounts receivable (a current asset) decrease while current liabilities remain unchanged (or decrease only by any current portion of the debt paid down). The interest coverage ratio will increase because paying down long-term debt will decrease interest expense.

For Further Reference:

(Study Session 6, Module 20.2, LOS 20.b)

CFA® Program Curriculum, Volume 3, page 197

Question #89 of 180

Question ID: 1420283

Interest paid is reported as an operating cash outflow under:

- A)** U.S. GAAP, but may be reported as a financing cash flow under IFRS. 
- B)** IFRS, but may be reported as an investing cash flow under U.S. GAAP. 
- C)** U.S. GAAP, but must be reported as either an investing or financing cash flow under IFRS. 

Explanation

Interest paid is an operating cash flow under U.S. GAAP but may be reported as either an operating or financing cash flow under IFRS.

For Further Reference:

(Study Session 6, Module 19.1, LOS 19.d)

CFA® Program Curriculum, Volume 3, page 125

Question #90 of 180

Question ID: 1420249

A researcher needs to choose a probability distribution for the price of an asset that is quite volatile in order to simulate returns outcomes. She has a program that will generate random variables from any of a variety of distributions. The *most appropriate* distribution for her to select to generate the asset price distribution is a:

- A)** normal distribution. 
- B)** lognormal distribution. 
- C)** Student's *t*-distribution. 

Explanation

The lognormal distribution is most appropriate for modeling asset prices because the values cannot be less than zero and are not bounded on the upside. A binomial distribution allows only two possible outcomes over a period.

For Further Reference:

(Study Session 2, Module 4.3, LOS 4.I)

CFA® Program Curriculum, Volume 1, page 269

Question #91 of 180

Question ID: 1420310

Which of the following statements about the component costs of capital is *least accurate*?

- A) The cost of common equity is the required rate of return on common stock. 
- B) The cost of preferred stock is the preferred dividend divided by the preferred's par value. 
- C) The after-tax cost of debt is based on the expected yield to maturity on newly issued debt. 

Explanation

The cost of preferred stock is calculated as the preferred dividend divided by the market price, not the par value.

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.e)

CFA® Program Curriculum, Volume 4, page 13

Question #92 of 180

Question ID: 1420318

If a firm's breakeven quantity of sales is equal to its operating breakeven quantity of sales, its degree of:

- A) total leverage is 1.0. 
- B) financial leverage is 1.0. 
- C) operating leverage is 1.0. 

Explanation

The breakeven quantity of sales is $(\text{fixed operating costs} + \text{fixed financing costs}) / (\text{price} - \text{variable cost per unit})$. The operating breakeven quantity of sales is $(\text{fixed operating costs}) / (\text{price} - \text{variable cost per unit})$. If a firm has a degree of financial leverage equal to 1 (i.e., no financial leverage), its fixed financing costs are zero. Therefore, its breakeven quantity of sales is equal to its operating breakeven quantity of sales.

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.e)

CFA® Program Curriculum, Volume 4, page 104

Question #93 of 180

Question ID: 1420382

An investment advisor constructs a portfolio that plots on the capital market line but has less risk and a lower return than the market portfolio. This portfolio is *most accurately* described as:

- A) a lending portfolio.
- B) a leveraged portfolio.
- C) an inefficient portfolio.



Explanation

A portfolio that plots on the capital market line with less risk than the market portfolio must include a positive allocation to the risk-free asset. Such a portfolio is called a lending portfolio because investing in the risk-free asset represents lending at the risk-free rate.

For Further Reference:

(Study Session 17, Module 50.1, LOS 50.b)

CFA® Program Curriculum, Volume 5, page 520

Question #94 of 180

Question ID: 1420476

AlcoBanc owns a piece of property that is under consideration for a new bank branch. Which of the following is *least likely* a relevant incremental cash flow in analyzing this project? The:

- A) interest costs of a loan for the property purchase.
- B) business gained at other branches due to new customers at the proposed site.
- C) \$150,000 AlcoBanc could get if they sold the property instead of building a new branch.



Explanation

Financing costs should not be included in incremental cash flows. They are reflected in the weighted average cost of capital (WACC). New business at other branches is a positive externality and the \$150,000 to sell the property is an opportunity cost.

For Further Reference:

(Study Session 9, Module 28.1, LOS 28.a)

CFA® Program Curriculum, Volume 3, page 645

Question #95 of 180

Question ID: 1420384

A stock has a beta of 0.9 and an estimated return of 10%. The risk-free rate is 7%, and the expected return on the market is 11%. According to the CAPM, this stock:

A) is overvalued.



B) is undervalued.



C) is properly valued.

**Explanation**

$E(R) = 7\% + 0.9(11\% - 7\%) = 10.6\%$. Because the expected return of 10% is less than the required return of 10.6%, the security is overvalued.

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.h)

CFA® Program Curriculum, Volume 5, page 546

Question #96 of 180

Question ID: 1420313

Which of the following *most accurately* characterizes a company in the mature stage of the industry life cycle?

A) High business risk.



B) Increasing growth rate of revenue.



C) Significant use of debt financing.

**Explanation**

In the mature stage, cash flow is significant and relatively stable, allowing for the greater use of leverage compared to earlier stages of a company's life cycle. Business risk tends to be low and revenue growth is typically slowing in the mature stage.

For Further Reference:

(Study Session 10, Module 31.1, LOS 31.a)

CFA® Program Curriculum, Volume 4, page 40

Question #97 of 180

Question ID: 1420314

With respect to firms in the financial services industry, a conflict between the interests of shareholders and regulators is *best* illustrated by a shareholder preference for:

- A) a decrease in the firm's equity capital. 
- B) a decrease in the firm's equity multiplier. 
- C) an increase in the value of a firm's equity. 

Explanation

The shareholders of a regulated firm in the financial services industry may prefer to maintain less equity capital to support their business to increase the return on equity, while regulators may impose higher equity capital requirements to protect the economic system in cases of financial distress. Regulators are not typically concerned with increasing equity values but rather with a firm's accounting equity. A decrease in the equity multiplier (financial leverage ratio, or assets/equity) will result from an increase in a firm's equity capital.

For Further Reference:

(Study Session 10, Module 31.1, LOS 31.b)

CFA® Program Curriculum, Volume 4, page 47

Question #98 of 180

Question ID: 1420303

Which of the following is *most likely* a violation of a pension fund's fiduciary duty?

- A) Using ESG factors when estimating companies' expected returns. 
- B) Choosing one stock over another similar stock because of ESG considerations. 
- C) Allocating 10% of assets to the five companies in its investing universe with the highest ESG scores. 

Explanation

Selecting securities based on ESG factors without considering their risk and return characteristics is very likely a violation of the fiduciary responsibility of the managers of a pension trust. Incorporating ESG factors into a risk and return analysis or choosing between two securities of equivalent risk and return based on ESG factors are not violations.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.j)

CFA® Program Curriculum, Volume 3, page 632

Question #99 of 180

Question ID: 1420378

In which step of the portfolio management process does an investment manager rebalance the portfolio to its target asset allocation percentages?

A) Analysis step.



B) Feedback step.



C) Execution step.



Explanation

The three major steps in the portfolio management process are planning, execution, and feedback. Rebalancing the portfolio to its desired asset allocation is part of the feedback step.

For Further Reference:

(Study Session 17, Module 48.1, LOS 48.d)

CFA® Program Curriculum, Volume 5, page 419

Question #100 of 180

Question ID: 1420308

Which of the following is *most likely* to improve a company's cash position, other things equal?

A) Decreasing days' payables.



B) Decreasing inventory turnover.



C) Decreasing credit terms from 2/60 to 2/45.



Explanation

Changing credit terms from 2/60 to 2/45 can be expected to result in the earlier receipt of payments on credit purchases, improving a company's cash position. Decreasing days' payables and decreasing inventory turnover will both result in reduced operating cash flow.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.b, 29.c)

CFA® Program Curriculum, Volume 3, page 688

Question #101 of 180

Question ID: 1420315

A model that concludes there are optimal amounts of both debt and equity in a company's capital structure *least likely* requires an assumption that:

- A) there are no taxes.
- B) interest is deductible for tax.
- C) financial distress imposes costs.



Explanation

The existence of an optimal capital structure involving both debt and equity requires that increasing levels of debt result in greater tax benefits and increasing expected costs of financial distress that just offset each other at some optimal capital structure.

For Further Reference:

(Study Session 10, Module 31.1, LOS 31.b)

CFA® Program Curriculum, Volume 4, page 47

Question #102 of 180

Question ID: 1420383

Greenbaum, Inc. stock pays no dividend and currently trades at \$54. Based on the CAPM and assuming an expected return on the market of 12% and a risk-free rate of 8%, the expected price for Greenbaum one year from now is \$62. The beta of Greenbaum shares is *closest* to:

- A) 1.5.
- B) 1.6.
- C) 1.7.



Explanation

Greenbaum's expected return for the coming year is $(62 / 54) - 1 = 14.8\%$. Its risk premium relative to the risk-free rate is $14.8\% - 8.0\% = 6.8\%$. The market risk premium is $12\% - 8\% = 4\%$. Therefore, the beta of Greenbaum must be $6.8 / 4.0 = 1.7$.

For Further Reference:

(Study Session 17, Module 50.1, LOS 50.e)

CFA® Program Curriculum, Volume 5, page 541

Question #103 of 180

Question ID: 1420381

Which of the following possible portfolios cannot lie on the efficient frontier?

Portfolio	Expected Return	Standard Deviation
1	8%	6%
2	10%	6%
3	14%	12%
4	14%	16%

A) Portfolio 3 only.



B) Portfolios 1 and 4.



C) Portfolios 2 and 3.



Explanation

Portfolio 1 does not lie on the efficient frontier because it has a lower return than Portfolio 2 but has equal risk. Portfolio 4 does not lie on the efficient frontier because it has higher risk than Portfolio 3 but has the same return.

For Further Reference:

(Study Session 17, Module 49.3, LOS 49.h)

CFA® Program Curriculum, Volume 5, page 491

Question #104 of 180

Question ID: 1420388

An investor who exhibits hyperbolic discounting *most likely*:

A) takes personal credit for gains and blames others for losses.



B) favors small gains in the short term over larger gains in the long term.



C) experiences greater pain from a loss than pleasure from an equal-sized gain.



Explanation

Hyperbolic discounting refers to favoring small payoffs in the short term over larger payoffs in the long term and is related to self-control bias. An investor who takes personal credit for gains and blames others for losses exhibits self-attribution bias. An investor who experiences greater pain from a loss than pleasure from an equal-sized gain exhibits loss aversion bias.

For Further Reference:

(Study Session 18, Module 52.1, LOS 52.b)

CFA® Program Curriculum, Volume 6, page 50

Question #105 of 180

Question ID: 1420307

For a project with an initial cost of 1,000 and cash flows of 5,000 for the first year and –6,000 for the second year, a researcher calculates two IRRs: 100% and 200%. If a company's cost of capital is 18%, the company should:

- A) not accept the project. 
- B) accept the project because its cost of capital is less than 100%. 
- C) accept the project because its cost of capital is less than 200%. 

Explanation

IRRs for a complex project with multiple IRRs are not useful. The project's NPV is –1,072 ($CF_0 = -1,000$, $CF_1 = 5,000$, $CF_2 = -6,000$, $I/Y = 18$), so it should be rejected.

For Further Reference:

(Study Session 9, Module 28.2, LOS 28.b)

CFA® Program Curriculum, Volume 3, page 651

Question #106 of 180

Question ID: 1420385

In the context of the capital asset pricing model, an active manager would be *most likely* to purchase a security that plots:

- A) on the security market line. 
- B) below the security market line. 
- C) above the security market line. 

Explanation

Active management seeks to identify mispriced assets, which are likely to earn abnormal returns. A security that plots above the security market line (SML) is undervalued (i.e., expected to earn a return that is higher than it would if it were priced at its equilibrium price, given its systematic risk).

For Further Reference:

(Study Session 17, Module 50.2, LOS 50.h)

CFA® Program Curriculum, Volume 5, page 546

Question #107 of 180

Question ID: 1420379

The investment needs of property and casualty insurers are characterized by a:

- A) short-term time horizon and low risk tolerance.
- B) long-term time horizon and high risk tolerance.
- C) short-term time horizon and high risk tolerance.



Explanation

Property and casualty insurers typically have a short-term time horizon, since claims are expected in the near term, and low risk tolerance.

For Further Reference:

(Study Session 17, Module 48.1, LOS 48.b)

CFA® Program Curriculum, Volume 5, page 415

Question #108 of 180

Question ID: 1420301

Which of the following relationships among a company's stakeholders is *most accurately* described as a principal-agent relationship? The relationship between a company's managers and its:

- A) creditors.
- B) regulators.
- C) shareholders.



Explanation

The relationship between shareholders and managers of a company is a principal-agent relationship because the shareholders (the principals) hire managers (the agents) to act in the best interests of the shareholders.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.c)

CFA® Program Curriculum, Volume 3, page 605

Question #109 of 180

Question ID: 1420311

Inez Company has the following target capital structure: 35% debt, 55% common stock, and 10% preferred stock. The company's before-tax cost of debt is 6%, its cost of common stock is 10%, and its cost of preferred stock is 8%. The company's marginal tax rate is 40%. What is Inez's weighted average cost of capital?

A) 7.14%.



B) 7.56%.



C) 8.40%.



Explanation

$$WACC = (0.35)(0.06)(1 - 0.40) + (0.10)(0.08) + (0.55)(0.10) = 7.56\%$$

For Further Reference:

(Study Session 10, Module 30.1, LOS 30.a)

CFA® Program Curriculum, Volume 4, page 6

Question #110 of 180

Question ID: 1420316

Agency costs of equity:

A) are unaffected by capital structure.



B) increase with greater debt in the capital structure.



C) decrease with greater debt in the capital structure.



Explanation

Agency costs of equity result from differences between equity owners and management. These costs are reduced when a greater proportion of debt is used in the capital structure because fixed interest charges reduce the amount of income over which managers have discretion in deploying.

For Further Reference:

(Study Session 10, Module 31.2, LOS 31.d)

CFA® Program Curriculum, Volume 4, page 57

Question #111 of 180

Question ID: 1420304

A portfolio manager who tracks the industry weights of a benchmark index, but within each industry selects stocks with favorable ESG factors, is said to be engaging in:

A) active ownership.



B) thematic investing.



C) best-in-class investing.



Explanation

With a best-in-class investing strategy, a portfolio manager selects the stocks within each industry or sector that have the most favorable ESG characteristics, without excluding any industries. Active ownership refers to using share ownership as a way to promote ESG-related goals, through proxy voting and access to company management. Thematic investing strategies are based on a single ESG factor.

For Further Reference:

(Study Session 9, Module 27.2, LOS 27.k)

CFA® Program Curriculum, Volume 3, page 632

Question #112 of 180

Question ID: 1420309

Over the last 12 months, M&N Company has been using its accounts payable as an internal source of funds. This month, M&N's largest supplier changed its invoice terms from 2/20 net 90 to 2/10 net 60. Going forward, this change is *most likely* to:

- A) increase M&N's days of payables. 
- B) decrease M&N's days of payables. 
- C) have no effect on M&N's days of payables. 

Explanation

Days of payables are a measure of how long it takes a company to pay its trade creditors. If a supplier changes its invoice terms from 2/20 net 90 to 2/10 net 60, the supplier has shortened both the due date for net amounts (from 90 days to 60 days) and the discount period (from 20 days to 10 days). That is, the supplier requires faster payment. Assuming M&N complies with the new terms, this is most likely to decrease its days of payables.

For Further Reference:

(Study Session 9, Module 29.1, LOS 29.c)

CFA® Program Curriculum, Volume 3, page 688

Question #113 of 180

Question ID: 1420380

Using historical index returns for an equities market over a 20-year period, an analyst has calculated the average annual return as 5.60% and the holding period return as 170%. The compound annual index return over the period is *closest* to:

- A) 2.69%. 
- B) 5.09%. 

C) 5.24%.



Explanation

$$(1 + \text{HPR})^{1/n} - 1 = (1 + 1.70)^{1/20} - 1 = 0.050916$$

For Further Reference:

(Study Session 17, Module 49.1, LOS 49.a)

CFA® Program Curriculum, Volume 5, page 442

Question #114 of 180

Question ID: 1420477

Two of the typical steps in the capital allocation process are:

- A) analyzing project proposals and raising additional capital. 
- B) raising additional capital and creating the firm-wide capital budget. 
- C) analyzing project proposals and creating the firm-wide capital budget. 

Explanation

The four typical steps in the capital allocation process are generating ideas, analyzing project proposals, creating the firm-wide capital budget, and monitoring decisions and conducting a post-audit. Raising additional capital is not one of the typical steps in the capital allocation process.

For Further Reference:

(Study Session 9, Module 28.1, LOS 28.a)

CFA® Program Curriculum, Volume 3, page 645

Question #115 of 180

Question ID: 1420302

Which of the following board committees is *most likely* to be required by regulations?

- A) Audit committee. 
- B) Nominations committee. 
- C) Compensation committee. 

Explanation

While board committees may vary based on the size and complexity of companies, regulations often require an audit committee to be appointed.

For Further Reference:

(Study Session 9, Module 27.1, LOS 27.f)

CFA® Program Curriculum, Volume 3, page 615

Question #116 of 180

Question ID: 1420386

Which portion of an investment policy statement is *most likely* to state any restriction on portfolio leverage?

- A) Procedures. 
- B) Investment guidelines. 
- C) Duties and responsibilities. 

Explanation

The investment guidelines section typically contains information about specific types of assets prohibited in the portfolio and the permissible use, if any, of leverage and derivatives.

For Further Reference:

(Study Session 18, Module 51.1, LOS 51.b)

CFA® Program Curriculum, Volume 6, page 6

Question #117 of 180

Question ID: 1420389

Non-financial sources of risk for an organization *most likely* include:

- A) credit risk. 
- B) liquidity risk. 
- C) solvency risk. 

Explanation

Non-financial risks are those that arise from an organization's operations and from outside sources other than financial markets. Solvency risk is classified as a non-financial risk.

For Further Reference:

(Study Session 18, Module 53.1, LOS 53.f)

CFA® Program Curriculum, Volume 6, page 101

Question #118 of 180

Question ID: 1420317

Under what conditions will the percentage change in a company's earnings per share be larger than the percentage change in its earnings before interest and taxes (EBIT)? The company's degree of:

- A) operating leverage is positive.
- B) total leverage is greater than one.
- C) financial leverage is greater than one.



Explanation

Earnings per share will increase by a greater percentage than EBIT if a company has financial leverage (i.e., a degree of financial leverage greater than one).

For Further Reference:

(Study Session 10, Module 32.1, LOS 32.c)

CFA® Program Curriculum, Volume 4, page 97

Question #119 of 180

Question ID: 1420312

A new project will require a company to issue both debt and common equity. In estimating the project's net present value (NPV), an analyst increases the initial outlay for this project by the flotation cost of the equity securities. Has the analyst treated flotation costs correctly?

- A) Yes.
- B) No, because flotation costs are a sunk cost.
- C) No, because the cost of capital should be adjusted for flotation costs.



Explanation

Adding flotation costs attributable to a project to its initial cash outlay is the correct treatment.

For Further Reference:

(Study Session 10, Module 30.2, LOS 30.g)

CFA® Program Curriculum, Volume 4, page 22

Question #120 of 180

Question ID: 1379865

If a stock's beta is equal to 1.2, its standard deviation of returns is 28%, and the standard deviation of the returns on the market portfolio is 14%, the covariance of the stock's returns with the returns on the market portfolio is *closest* to:

A) 0.168.



B) 0.024.



C) 0.600.



Explanation

From the fact that $\text{beta}_i = \text{Cov}_{i,\text{mkt}} / \text{Var}_{\text{mkt}}$, we have $\text{Cov}_{i,\text{mkt}} = \text{beta}_i \times \text{var}_{\text{mkt}}$.

$$\text{Cov}_{i,\text{mkt}} = 1.2 \times 0.14^2 = 0.02352.$$

For Further Reference:

(Study Session 17, Module 50.1, LOS 50.e)

CFA® Program Curriculum, Volume 5, page 541

Question #121 of 180

Question ID: 1420365

Based on parity relations for options prices, the value of a put minus the value of a call (on the same asset with same exercise prices) must equal:

A) the price of a forward contract on the asset minus the present value of the option exercise price.



B) the present value of the price of a forward contract on the asset minus the option exercise price.



C) the present value of the difference between the option exercise price and the price of a forward contract on the asset.



Explanation

The no-arbitrage put-call-forward parity condition for European options can be presented as:

$$\frac{F_0(T)}{(1+R_f)^T} + p_0 = c_0 + \frac{X}{(1+R_f)^T}$$

or as

$$p_0 - c_0 = \frac{X - F_0(T)}{(1+R_f)^T}$$

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.m)

CFA® Program Curriculum, Volume 5, page 258

Question #122 of 180

Question ID: 1420321

A financial market is said to be operationally efficient if:

- A) transactions costs are low. 
- B) prices adjust quickly to new information. 
- C) it results in resources being allocated to their most productive uses. 

Explanation

Financial markets are said to be operationally efficient if participants can achieve their desired purposes with low transactions costs. Markets are said to be informationally efficient if prices reflect new information rapidly, and allocationally efficient if resources are allocated to their most productive uses.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.k)

CFA® Program Curriculum, Volume 4, page 175

Question #123 of 180

Question ID: 1420324

Which of the following statements about alternative investment indexes is *most accurate*?

- A) An investor can replicate a commodity index by making direct investments in the underlying physical commodities. 

- B) Real Estate Investment Trust indexes track the prices of shares of publicly traded companies that invest in mortgages or real property. 
- C) Hedge fund indexes accurately represent the investment performance of the hedge fund industry. 

Explanation

REIT indexes represent a convenient way to invest in real estate. Commodity indexes are based on futures prices of commodities, and are not replicated by investing in the commodities themselves. Hedge fund indexes are biased upward because hedge funds are not required to disclose their performance to index providers and poorly performing funds are less likely to do so (self-selection bias).

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.j)

CFA® Program Curriculum, Volume 4, page 219

Question #124 of 180

Question ID: 1420350

An investor with an investment horizon of 5 years has purchased a 15-year 6% coupon bond at par. The bond has a modified duration of 9.8. The duration gap for this investor is *closest* to:

- A) -4.2. 
- B) 4.8. 
- C) 5.4. 

Explanation

The duration gap is calculated as the bond's Macaulay duration minus the investor's investment horizon. Modified duration is Macaulay duration / (1 + YTM), so we can calculate the Macaulay duration as $9.8 \times 1.06 = 10.388$. The duration gap is $10.388 - 5 = 5.388$.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.k)

CFA® Program Curriculum, Volume 5, page 45

Question #125 of 180

Question ID: 1420355

Which of the following intangible assets is *most likely* to represent high-quality collateral in credit analysis?

- A) Goodwill. 
- B) Trademarks. 
- C) Deferred tax assets. 

Explanation

Intangible assets that can be sold, such as trademarks, provide collateral of good quality. A credit analyst should view as low-quality collateral any assets that are likely to be written down in value if a firm encounters financial distress, such as goodwill and deferred tax assets.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.f)

CFA® Program Curriculum, Volume 5, page 87

Question #126 of 180

Question ID: 1420351

An analytical duration would be preferred to an empirical duration in instances where:

- A) the goal is to test the sensitivity of assumptions. 
- B) the change in the credit spread is positively correlated with the change in the benchmark yield curve. 
- C) the change in the credit spread is negatively correlated with the change in the benchmark yield curve. 

Explanation

Analytic methods lend themselves to estimating the effect of changing a particular assumption or estimate. When, historically, changes in the benchmark yield curve have been correlated with changes in the credit spread, empirical duration may be a more accurate measure of interest rate sensitivity.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.m)

CFA® Program Curriculum, Volume 5, page 52

Question #127 of 180

Question ID: 1420376

The following information applies to JNC Advisers, a hedge fund:

- \$250 million in AUM as of prior year-end
- 2% management fee (based on year-end AUM)
- 20% incentive fee calculated net of management fees, using a 4% soft hurdle rate and a high-water mark (\$275 million as of prior year-end)

In the current year, the fund's gross return is 20%. An investor's net-of-fees return for the year is closest to:

- A) 13.0%. 
- B) 15.6%. 
- C) 16.1%. 

Explanation

End-of-year AUM = \$250 million $\times$ 1.20 = \$300 million
Management fees = \$300 million $\times$ 2% = \$6 million
AUM net of management fees = \$300 million – \$6 million = \$294 million
Return net of management fees = $\$294 / \$250 - 1 = 17.6\%$

Because returns for the year net of management fees exceeded the soft hurdle rate, the fund can collect incentive fees, but only on gains above the high-water mark.

Incentive fees = $20\% \times (\$294 - \$275) = \$3.8$ million
Total fees to JNC Advisers = \$6 + \$3.8 = \$9.8 million
After-fee return = $[(300 - 9.8) / 250] - 1 = 16.08\%$

For Further Reference:

(Study Session 16, Module 47.5, LOS 47.j)

CFA® Program Curriculum, Volume 5, page 387

Question #128 of 180

Question ID: 1420331

A non-cumulative preferred stock will be *most* risky if it is:

- A) putable. 
- B) callable. 
- C) option-free. 

Explanation

A callable preferred is most risky because it can be redeemed for a fixed price if its value increases beyond that call price. Option-free and puttable preferred stocks do not have this risk.

For Further Reference:

(Study Session 12, Module 36.2, LOS 36.e)

CFA® Program Curriculum, Volume 4, page 290

Question #129 of 180

Question ID: 1420335

An analyst is valuing a company's perpetual preferred stock that pays a \$6 annual dividend. The company's bonds currently yield 7.5% and preferred shares are selling to yield 75 basis points below the company's bond yield. The value of the preferred stock is *closest* to:

A) \$72.



B) \$80.



C) \$89.



Explanation

Step 1: Determine the discount rate. $7.50\% - 0.75\% = 6.75\%$.

Step 2: Value the preferred. $V_P = \frac{\text{dividend}}{k_p} = \frac{\$6.00}{0.0675} = \$88.89$

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.f)

CFA® Program Curriculum, Volume 4, page 373

Question #130 of 180

Question ID: 1420364

If the risk-free rate of interest is 3%, the spot price of an asset is 35, and its net cost of carry is -2, the no-arbitrage price of a one-year forward contract on units of the asset is closest to:

A) 33.99.



B) 38.05.



C) 38.11.



Explanation

A negative net cost of carry means that the costs of holding the asset are greater than the benefits, so we must add 2 to the spot price to get a no-arbitrage price for a one-year forward contract of $1.03(35 + 2) = 38.11$.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.c)

CFA® Program Curriculum, Volume 5, page 234

Question #131 of 180

Question ID: 1420352

If a bond has a convexity of 120 and a modified duration of 10, the convexity adjustment (to a duration-based approximation) associated with a 25 basis point interest rate decline is *closest* to:

A) -2.875%.



B) -2.125%.



C) +0.0375%.



Explanation

$$\begin{aligned}\text{convexity adjustment to } \% \Delta P &= \frac{1}{2} \text{convexity measure} \times (\Delta \text{YTM})^2 \times 100 \\ &= \frac{1}{2} (120) (-0.0025)^2 (100) \\ &= 0.0375\%\end{aligned}$$

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.i)

CFA® Program Curriculum, Volume 5, page 36

Question #132 of 180

Question ID: 1420387

Compared to brownfield infrastructure investments, greenfield infrastructure investments are more appropriate for investors with:

A) lower liquidity needs and lower risk tolerance.



B) higher risk tolerance and shorter time horizons.



C) longer time horizons and lower liquidity needs.



Explanation

Greenfield investments are infrastructure projects that have not yet been built. Compared to brownfield investments, which are infrastructure assets that already exist, greenfield investments are more appropriate for investors with longer time horizons. Greenfield investments have greater risk than brownfield investments. Direct investments in infrastructure of either type are illiquid.

For Further Reference:

(Study Session 18, Module 51.1, LOS 51.e)

CFA® Program Curriculum, Volume 6, page 15

Question #133 of 180

Question ID: 1420320

An investor buys a stock at \$32 a share and deposits 50% initial margin. Assume that the maintenance margin is 25%, the stock pays no dividends, and transaction costs and interest on the margin loan are zero. The price at which the investor would receive a margin call is *closest* to:

A) \$16.



B) \$21.



C) \$24.



Explanation

Price at which a margin call will occur:

$$\begin{aligned} & \text{original price} \times [(1 - \text{initial margin}) / (1 - \text{maintenance margin})] \\ &= [\$32.00 \times (1 - 0.5)] / (1 - 0.25) = \$16.00 / 0.75 = \$21.33 \end{aligned}$$

For Further Reference:

(Study Session 11, Module 33.2, LOS 33.f)

CFA® Program Curriculum, Volume 4, page 158

Question #134 of 180

Question ID: 1420357

Recent economic data suggest an increasing likelihood that the economy will soon enter a recessionary phase. What is the *most likely* effect on the yields of lower-quality corporate bonds and on credit spreads of lower-quality versus higher-quality corporate bonds?

- A) Both will increase. 
- B) Both will decrease. 
- C) One will increase and one will decrease. 

Explanation

During economic contractions, the probability of default increases for lower-quality issues and their yields increase. When investors anticipate an economic downturn, they tend to sell low-quality issues and buy high-quality issues, causing credit spreads to widen.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.j)

CFA® Program Curriculum, Volume 5, page 112

Question #135 of 180

Question ID: 1420478

Which of the following statements for puts at expiration is *least accurate*? The:

- A) put buyer's maximum loss is the put option's premium. 
- B) maximum loss to the writer of a put is the exercise price less the premium. 
- C) put holder will exercise the option whenever the stock's price is greater than the exercise price. 

Explanation

The put holder will exercise the option at expiration whenever the stock's price is less than the exercise price.

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.d)

CFA® Program Curriculum, Volume 5, page 170

Question #136 of 180

Question ID: 1420327

Which of the following scenarios is inconsistent with efficient financial markets?

- A) An analyst's buy recommendations have returned 2% more than the broad market index, on average. 
- B) Johnson, Inc. reports an increase of 8% in its earnings from a year earlier, and its stock price declines 5% on the news. 
- C) Earl Baker, an investor, earns consistently superior risk-adjusted returns by buying stocks when most investment advisors are pessimistic and selling stocks when most investment advisors are optimistic. 

Explanation

If markets are efficient, investors should not earn consistently superior returns from technical trading rules such as a contrary opinion strategy. A stock price will decrease on a report of an increase in earnings if that increase is less than investors expected based on all the information previously available. An analyst's recommendations could be for stocks with more than market risk, or the analyst's industry may outperform for some period of time. Both could account for outperformance even though markets are efficient.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.e)

CFA[®] Program Curriculum, Volume 4, page 249

Question #137 of 180

Question ID: 1420329

The holder of the type of security that has a priority in liquidation less than that of bonds or promissory notes issued by the company but ahead of that of common stock is *most likely* to have:

- A) no voting rights. 
- B) statutory voting rights. 
- C) cumulative voting rights. 

Explanation

The security being described here is preferred stock (preference shares). In the event of liquidation of a firm, the claims of preferred equity shareholders are senior to the claims of common stockholders but subordinated to the claims of debt holders. Preferred shares typically have no voting rights.

For Further Reference:

(Study Session 12, Module 36.1, LOS 36.a)

CFA[®] Program Curriculum, Volume 4, page 277

Question #138 of 180

Question ID: 1420325

Transactions costs incurred from portfolio rebalancing are *most likely* to be highest for funds that track:

- A) price-weighted indexes.
- B) value-weighted indexes.
- C) equal-weighted indexes.

**Explanation**

Equal-weighted index portfolios require rebalancing after each return period because differences in returns among securities will drive the security weightings away from equal weighting. Changes in the security prices automatically adjust the weights in price- and value-weighted index portfolios to their correct values, so funds that track price- and value-weighted indexes do not require frequent rebalancing.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.f)

CFA® Program Curriculum, Volume 4, page 209

Question #139 of 180

Question ID: 1420369

When compared to direct investing, fund investing offers:

- A) greater diversification.
- B) higher minimum investments.
- C) a higher degree of investor involvement.

**Explanation**

Advantages of fund investing as compared to direct investing include less investor involvement, lower minimum investment requirements, and diversification across investments made by the fund.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.b)

CFA® Program Curriculum, Volume 5, page 295

Question #140 of 180

Question ID: 1420373

A hedge fund will honor redemption requests at any time within 30 days of the request, but it will charge a significant fee for redemption requests received during the first two years. These terms are *most* appropriately referred to as a two-year:

- A) penalty period. 
- B) soft lockup period. 
- C) redemption restriction period. 

Explanation

A period after initial investment during which there are significant penalties for redemptions is referred to as a soft lockup period. If redemption requests will not be honored for a period after initial investment, that is referred to as a lockup period.

For Further Reference:

(Study Session 16, Module 47.2, LOS 47.d)

CFA® Program Curriculum, Volume 5, page 310

Question #141 of 180

Question ID: 1420339

A supranational bond:

- A) is issued by a multilateral agency. 
- B) trades outside the jurisdiction of any one country. 
- C) pays coupons in a different currency than its principal. 

Explanation

Supranational bonds are issued by multilateral agencies such as the World Bank or International Monetary Fund. Bonds that trade outside the jurisdiction of any one country are known as global bonds. Bonds that pay coupons in a different currency than their principal are known as dual-currency bonds.

For Further Reference:

(Study Session 13, Module 40.1, LOS 40.f)

CFA® Program Curriculum, Volume 4, page 487

Question #142 of 180

Question ID: 1420356

If an investor wants only investment grade bonds in her portfolio, she would be *least likely* to purchase a:

- A) 2-year municipal bond rated A-. 
- B) 3-year municipal bond rated BB. 
- C) 15-year, semiannual coupon corporate bond rated BBB. 

Explanation

Investment grade bonds are BBB- and above. This bond is rated BB, which is below BBB-.

For Further Reference:

(Study Session 14, Module 44.1, LOS 44.d)

CFA® Program Curriculum, Volume 5, page 78

Question #143 of 180

Question ID: 1420336

A stock that currently does not pay a dividend is expected to pay its first dividend of \$1.00 five years from today. Thereafter, the dividend is expected to grow at an annual rate of 25% for the next three years and then grow at a constant rate of 5% per year thereafter. The required rate of return is 10.3%. The value of the stock today is *closest* to:

- A) \$20.65. 
- B) \$22.72. 
- C) \$23.87. 

Explanation

This is essentially a two-stage dividend discount model (DDM) problem. Discounting all future cash flows, we get:

$$P_0 = \frac{1.00}{(1.103)^5} + \frac{1.25}{(1.103)^6} + \frac{(1.25)^2}{(1.103)^7} + \left[\frac{(1.25)^3}{(0.103 - 0.05)(1.103)^7} \right] = \$20.647$$

Note that the constant growth formula can be applied to dividend 8 (1.25^3) because it *will* grow at a constant rate (5%) forever.

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA® Program Curriculum, Volume 4, page 375

Question #144 of 180

Question ID: 1420361

If, at expiration, the price of a stock is \$43, the profit or loss to the writer of a put option at \$45 is:

- A) a \$2 loss.
- B) a \$2 profit.
- C) no profit or loss.

**Explanation**

The put option is in the money by $\text{Max}(0, \text{exercise price} - \text{stock price})$ or $\$45 - \$43 = \$2$, which is the put holder's profit and the put writer's loss.

For Further Reference:

(Study Session 15, Module 45.2, LOS 45.d)

CFA® Program Curriculum, Volume 5, page 170

Question #145 of 180

Question ID: 1420348

Changes in a fixed-coupon bond's cash flows that result from changes in yield would be reflected in the bond's:

- A) effective duration.
- B) modified duration.
- C) Macaulay duration.

**Explanation**

Effective duration and effective convexity capture the effects from changes in a bond's cash flows when the yield changes (e.g., an increase in the likelihood of a bond being called when its yield has decreased). For this reason, they are the appropriate measures of interest rate sensitivity for bonds with embedded options.

For Further Reference:

(Study Session 14, Module 43.1, LOS 43.c)

CFA® Program Curriculum, Volume 5, page 22

Question #146 of 180

Question ID: 1420377

A hedge fund that invests in nontraded securities uses a pricing model to calculate portfolio values. The *most likely* result of this method for portfolio valuation is upward bias to:

- A) Sharpe ratios. 
- B) returns over time. 
- C) return correlations with other investments. 

Explanation

Using model prices tends to smooth returns over time, which biases both the standard deviation of returns and return correlations with other investment classes downward. Because the Sharpe ratio is calculated as excess returns per unit of standard deviation of returns, a downward bias in estimated standard deviations will bias Sharpe ratios upward. Returns over time are not necessarily biased upward or downward by using model values.

For Further Reference:

(Study Session 16, Module 47.5, LOS 47.i)

CFA® Program Curriculum, Volume 5, page 375

Question #147 of 180

Question ID: 1420338

Roger Gould, CFA, is analyzing the stock of Zero Incorporated and trying to determine which price multiple to use in his valuation. Zero, a start-up, had losses over the last 12 months and is projected to have a loss over the next 12 months. Zero has significant internally generated intangible assets and human capital that Gould would like to capture in his valuation. The price multiple that Gould should *most appropriately* use is the:

- A) price-to-sales ratio. 
- B) price-to-book value. 
- C) price-to-earnings ratio. 

Explanation

The price-to-sales ratio can be used for firms with negative earnings and implicitly recognizes the value of assets not recognized on the balance sheet. The price-to-earnings ratio is the most popular ratio in the investment community; however, it is not a useful ratio for firms with negative earnings. One of the significant disadvantages of the price-to-book value ratio is that it does not recognize the value of nonphysical assets such as human capital or intangible assets generated internally. Therefore, price-to-book value would not be the best choice.

For Further Reference:

(Study Session 12, Module 38.3, LOS 38.I)

CFA® Program Curriculum, Volume 4, page 397

Question #148 of 180

Question ID: 1420367

An American put option on a stock is *most likely* to have a higher value than an otherwise identical European put option:

- A) if the stock pays a dividend. 
- B) when the options are at the money. 
- C) when the options are in the money. 

Explanation

For a put option, the right to exercise early can be valuable when the option is deep in the money. Therefore, an American put that is in the money will have a higher value than an otherwise identical European put. On their expiration date, American and European options have the same value because both can be exercised. Cash flows from the underlying asset do not make the right to exercise early more valuable for put options.

For Further Reference:

(Study Session 15, Module 46.4, LOS 46.o)

CFA® Program Curriculum, Volume 5, page 248

Question #149 of 180

Question ID: 1420345

Four non-convertible bonds have the indicated yield spreads to Treasury securities:

	Maturity	Government Spread	Zero- Volatility Spread	Option- Adjusted Spread
Bond W	2 years	156 bp	155 bp	130 bp
Bond X	3 years	173 bp	174 bp	199 bp
Bond Y	5 years	188 bp	189 bp	164 bp
Bond Z	10 years	202 bp	201 bp	226 bp

Based on these spreads, it is *most likely* that:

- A) Bond X is callable, and Bond Y is puttable. 
- B) Bond W is callable, and Bond Z is puttable. 
- C) Bond Z is callable, and the spot yield curve is inverted. 

Explanation

Bonds W and Y are most likely callable, and Bonds X and Z are most likely puttable. If the option-adjusted spread is less than the zero-volatility spread, the embedded option has a negative value to the bondholder (e.g., a call option), and if the option-adjusted spread is greater than the zero-volatility spread, the embedded option has a positive value to the bondholder (e.g., a put option). Zero-volatility spreads adjust for the fact that nominal spreads (between the yields to maturity of two bonds) are theoretically correct only when the spot yield curve is flat. All of these bonds' zero-volatility spreads are nearly identical to their government spreads, which suggests the spot yield curve is approximately flat.

For Further Reference:

(Study Session 13, Module 41.5, LOS 41.k)

CFA® Program Curriculum, Volume 4, page 558

Based on the following interest rates:

1-year spot rate	3.0%
1-year forward rate one year from now	5.0%
2-year forward rate one year from now	6.5%

The 3-year spot rate is *closest to*:

- A) 5.0%. 
- B) 5.3%. 
- C) 9.3%. 

Explanation

The 3-year spot rate is the discount rate for a 3-year zero-coupon security. To eliminate any opportunity for arbitrage, the 3-year spot rate should equal the compounded equivalent of borrowing at expected forward rates:

$$\text{3-year spot rate} = [(1 + 0.03)(1 + 0.065)^2]^{1/3} - 1 = 0.0532 = 5.32\%.$$

Note that the answer can be approximated simply by averaging the 1-year rate and the 2-year forward rate one year from now: $(3 + 6.5 + 6.5) / 3 = 5.33\%$.

For Further Reference:

(Study Session 13, Module 41.4, LOS 41.j)

CFA® Program Curriculum, Volume 4, page 550

Question #151 of 180

Question ID: 1420332

An analyst classifies Mettler, Inc., an operator of retail grocery stores, in the same industry group as Powell Corporation, a manufacturer of industrial machinery. This analyst's classification system is *most likely* based on:

- A) statistical methods. 
- B) products and services. 
- C) sensitivity to the business cycle. 

Explanation

This grouping is most likely the result of a cluster analysis and may have arisen by chance. The two firms clearly offer different products and services. An industrial machinery manufacturer is likely to be a cyclical firm, while a grocery retailer is likely to be a non-cyclical firm.

For Further Reference:

(Study Session 12, Module 37.1, LOS 37.b)

CFA® Program Curriculum, Volume 4, page 309

Question #152 of 180

Question ID: 1420370

Compared to traditional investments, alternative investments are *most likely* to exhibit:

- A) greater regulation.
- B) less manager specialization.
- C) more-concentrated portfolios.



Explanation

Alternative investments typically exhibit more-concentrated portfolios, less regulation, and greater manager specialization.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.a)

CFA® Program Curriculum, Volume 5, page 289

Question #153 of 180

Question ID: 1420341

An analyst collects the following spot rates, stated as annual BEYs:

- 6-month spot rate = 6%.
- 12-month spot rate = 6.5%.
- 18-month spot rate = 7%.
- 24-month spot rate = 7.5%.

Given only this information, the price of a 2-year, semiannual-pay, 10% coupon bond with a face value of \$1,000 is *closest* to:

- A) \$918.30.
- B) \$1,000.00.



C) \$1,046.77.



Explanation

This question can be answered without calculations. Since the spot rates are less than the coupon rate, the price must be greater than par value, so C is the only possible correct choice.

This is a four-period bond with \$50 cash flows each period. Divide each spot rate by two to get the semiannual rate.

$$PV_1: N = 1; I/Y = 3.00; FV = \$50; CPT \rightarrow PV = \$48.54$$

$$PV_2: N = 2; I/Y = 3.25; FV = \$50; CPT \rightarrow PV = \$46.90$$

$$PV_3: N = 3; I/Y = 3.50; FV = \$50; CPT \rightarrow PV = \$45.10$$

$$PV_4: N = 4; I/Y = 3.75; FV = \$1,050; CPT \rightarrow PV = \$906.23$$

Sum to get \$1,046.77.

$$\text{Or, } \frac{50}{1.03} + \frac{50}{1.0325^2} + \frac{50}{1.035^3} + \frac{1,050}{1.0375^4} = \$1,046.77$$

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.c)

CFA® Program Curriculum, Volume 4, page 527

Question #154 of 180

Question ID: 1420362

A programming error resulted in the issuance of a forward contract that ignored the convenience yield investors realize from holding the underlying asset. To gain an arbitrage profit from this error, an arbitrageur's position would *most likely* include a long position in the:

A) forward contract.



B) underlying asset.



C) risk-free asset.



Explanation

Ignoring the convenience yield (a nonmonetary benefit of holding the asset) will result in a forward price that is above the no-arbitrage forward price. To profit from this mispricing, an arbitrageur would borrow at the risk-free rate (i.e., take a short position in the risk-free asset), purchase the underlying asset, and take a short position in the forward contract.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.d)

CFA® Program Curriculum, Volume 5, page 234

Question #155 of 180

Question ID: 1420346

Which of the following *best* describes the motivation for a corporation to issue securitized bonds? Securitization of specific assets by a corporation enables the corporation to:

- A) improve the recovery rate in the event of default. 
- B) use the assets as collateral for additional borrowing. 
- C) get a credit rating on the bonds that will result in a lower cost of borrowing. 

Explanation

Issuing securitized bonds from a special purpose entity allows a corporation to dedicate the assets' cash flows to specific debt issues. This enables the issue to receive a higher credit rating than that of the corporation.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.b)

CFA® Program Curriculum, Volume 4, page 591

Question #156 of 180

Question ID: 1420323

To ensure the continuity of a value-weighted index when one of the stocks in the index is split:

- A) no adjustment is necessary. 
- B) only the denominator must be adjusted for the split. 
- C) both the numerator and the denominator must be adjusted for the split. 

Explanation

Value-weighted indexes do not need to be adjusted for stock splits because the market capitalization of the company remains the same.

For Further Reference:

(Study Session 11, Module 34.1, LOS 34.e)

CFA® Program Curriculum, Volume 4, page 200

Question #157 of 180

Question ID: 1420371

Management fees for hedge funds are *most likely* calculated as a percentage of:

- A) committed capital. 
- B) gains above a hurdle rate. 
- C) assets under management. 

Explanation

For hedge funds, management fees are typically a percentage of assets under management. Incentive fees are based on gains. Management fees for private capital funds are typically a percentage of committed capital.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #158 of 180

Question ID: 1420340

Which of the following is a risk faced by issuers of commercial paper?

- A) Default risk. 
- B) Rollover risk. 
- C) Reinvestment risk. 

Explanation

Rollover risk is the risk that an issuer who relies on the commercial paper market as a funding source may not be able to issue new commercial paper when an outstanding issue matures. Default risk and reinvestment risk are faced by bondholders.

For Further Reference:

(Study Session 13, Module 40.2, LOS 40.g)

CFA® Program Curriculum, Volume 4, page 489

Question #159 of 180

Question ID: 1420349

Other things equal, an increase in an option-free bond's yield to maturity will:

- A) increase its interest rate risk. 
- B) decrease its interest rate risk. 
- C) not change its interest rate risk. 

Explanation

Because the price-yield relationship for an option-free bond is convex, interest rate risk as measured by duration changes when a bond's YTM changes. An increase in YTM reaches a flatter part of the price-yield curve, from which changes in yield will have relatively smaller effects on the bond's value.

For Further Reference:

(Study Session 14, Module 43.2, LOS 43.e)

CFA® Program Curriculum, Volume 5, page 26

Question #160 of 180

Question ID: 1420368

An analyst using a one-period binomial model calculates a probability-weighted average of an option's values following an up-move and a down-move. According to this model, this average is *most likely*:

- A) equal to the option's value today. 
- B) less than the option's value today. 
- C) greater than the option's value today. 

Explanation

The probability-weighted average calculated by the analyst is the option's value after one period. To estimate the option's value today, this result must be discounted by one period.

For Further Reference:

(Study Session 15, Module 46.4, LOS 46.n)

CFA® Program Curriculum, Volume 5, page 263

Question #161 of 180

Question ID: 1420319

A contract that requires one party to pay \$100,000 each quarter to another company that will make a variable quarterly payment based on the market value of an equities portfolio is referred to as:

- A) a swap. 
- B) an index option. 
- C) portfolio insurance. 

Explanation

In an equity swap, one party pays a fixed amount periodically in return for a payment that is calculated using a specific amount and the return on a stock or portfolio of stocks.

For Further Reference:

(Study Session 11, Module 33.1, LOS 33.c)

CFA® Program Curriculum, Volume 4, page 133

Question #162 of 180

Question ID: 1420334

Visser, Inc. is an unprofitable fishing enterprise. Visser rents most of its boats and equipment but owns valuable transferable fishing quotas. If a competitor is interested in acquiring Visser, the *most appropriate* equity valuation model to use is:

- A) an asset-based valuation model. 
- B) an earnings multiplier model. 
- C) a Gordon growth model. 

Explanation

Asset-based models are often used to value natural resources companies and companies that are being liquidated. Because Visser is unprofitable, an earnings multiplier model or a dividend discount model such as the Gordon growth model may not produce a meaningful value for the firm.

For Further Reference:

(Study Session 12, Module 38.1, LOS 38.b)

CFA® Program Curriculum, Volume 4, page 364

Question #163 of 180

Question ID: 1420358

A credit analyst determines the following selected financial ratios for three firms in an industry after making all appropriate adjustments:

	Johnson	Knight	Lawrence
EBIT/revenue	0.25	0.30	0.35
EBIT/interest	12.5	14.0	10.5
Debt/capital	0.55	0.70	0.35
Revenue/assets	0.20	0.15	0.10

In evaluating the creditworthiness of these firms, the analyst should conclude that:

- A) Knight has the most favorable leverage and Johnson has the most favorable coverage. 
- B) Lawrence has the most favorable leverage and Knight has the most favorable coverage. 
- C) Johnson has the most favorable leverage and Lawrence has the most favorable coverage. 

Explanation

EBIT / interest is a coverage ratio and debt / capital is a leverage ratio. Higher interest coverage and lower leverage are favorable for creditworthiness. Of the three companies given, Knight has the highest interest coverage and Lawrence has the lowest leverage. EBIT / revenue (operating profit margin) is a profitability ratio and revenue / assets (asset turnover) is an operating ratio.

For Further Reference:

(Study Session 14, Module 44.2, LOS 44.h)

CFA® Program Curriculum, Volume 5, page 91

Question #164 of 180

Question ID: 1420353

How should an analyst interpret a downward-sloping term structure of yield volatility?
Short-term interest rates are:

- A) higher than long-term interest rates.
- B) more stable than long-term interest rates.
- C) more variable than long-term interest rates.

**Explanation**

The term structure of yield volatility refers to the volatility of interest rates at different maturities. If the term structure of yield volatility is downward sloping, short-term interest rates are more volatile than long-term interest rates.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.j)

CFA® Program Curriculum, Volume 5, page 45

Question #165 of 180

Question ID: 1420363

Market conditions have increased the storage costs and decreased the convenience yield of a commodity. Other things equal, what effects will these changes have on the value of a forward contract on that commodity? The forward contract value:

- A) will increase.
- B) will decrease.
- C) may increase or decrease.

**Explanation**

The value of a forward contract at any time before its expiration is the spot price of the underlying asset, plus the present value of storage costs, minus the present value of monetary and nonmonetary benefits of holding the underlying, minus the present value of the forward price. An increase in storage costs and a decrease in convenience yield (a non-monetary benefit of holding the asset) will increase the value of a forward contract, other things equal.

For Further Reference:

(Study Session 15, Module 46.1, LOS 46.e)

CFA® Program Curriculum, Volume 5, page 234

Question #166 of 180

Question ID: 1420372

A provision that ensures that investors in a hedge fund will not pay twice for the same gains is:

- A) a clawback. 
- B) a hard hurdle rate. 
- C) a high-water mark. 

Explanation

A high-water mark provision stipulates that the general partner will only earn incentive fees for increases in value above the highest previous value of an investor's share of the fund.

For Further Reference:

(Study Session 16, Module 47.1, LOS 47.c)

CFA® Program Curriculum, Volume 5, page 303

Question #167 of 180

Question ID: 1420330

In a transaction referred to as a management buyout (MBO):

- A) management sells its shares to an investor group attempting to gain control of a company. 
- B) management buys a controlling interest in a public company to gain control of the board of directors. 
- C) an investor group that includes management buys all the shares of a company and they no longer trade on an exchange. 

Explanation

Management buyout refers to a situation where an investor group that includes the firm's key management purchases all the outstanding shares (not just a controlling interest) of a public company in order to take it private. Once this is done, the shares are no longer registered for public trading and, as a result, are no longer traded on exchanges or in other public markets.

For Further Reference:

(Study Session 12, Module 36.1, LOS 36.c)

CFA® Program Curriculum, Volume 4, page 282

Question #168 of 180

Question ID: 1420333

Archer Products is in an industry that has experienced low levels of price competition but recently excess capacity has led to aggressive price cutting. An analyst would be *least likely* to describe Archer's industry as:

- A) concentrated and with high barriers to exit.
- B) in the shakeout stage with low concentration.
- C) in the maturity stage with high barriers to entry.

**Explanation**

The maturity phase of an industry life cycle is not typically characterized by excess capacity or price competition. The conditions described may be consistent with a concentrated industry (typically characterized by low levels of price competition, since firms in the industry seek to avoid it) that is moving into the decline phase of an industry life cycle (excess capacity leads to aggressive price cutting, especially when barriers to exit are high). These conditions could also be consistent with an industry that is moving into the shakeout phase (characterized by developing excess capacity and intense price competition) following the growth phase (during which price competition is low).

For Further Reference:

(Study Session 12, Module 37.2, LOS 37.i)

CFA® Program Curriculum, Volume 4, page 332

Question #169 of 180

Question ID: 1420343

For a 5-year pure discount bond that is callable at par after two years, which of the following yield measures will be lowest?

- A) Current yield.
- B) Yield to first call.
- C) Yield to maturity.

**Explanation**

Current yield = annual coupon / bond price. A pure discount bond is a zero-coupon bond, which has a current yield of zero.

For Further Reference:

(Study Session 13, Module 41.3, LOS 41.g)

CFA® Program Curriculum, Volume 4, page 539

Question #170 of 180

Question ID: 1420374

An investor who chooses to invest in a fund-of-funds rather than in an individual hedge fund is *least likely* concerned with:

- A) diversification among hedge fund strategies.
- B) minimizing management and incentive fees.
- C) the manager's expertise in selecting hedge funds.

**Explanation**

Investing in a fund-of-funds can offer diversification among hedge fund strategies and provide manager expertise in selecting individual hedge funds. However, managers for these funds may charge both a management fee (e.g., 1%) and an incentive fee (e.g., 10%) that are in addition to the fees charged by the funds in which the fund-of-funds invests.

For Further Reference:

(Study Session 16, Module 47.2, LOS 47.d)

CFA® Program Curriculum, Volume 5, page 310

Question #171 of 180

Question ID: 1420347

What is *most likely* to happen to the prepayment rate and the weighted average life of a typical pass-through security if mortgage rates decrease?

- A) Both will increase.
- B) Both will decrease.
- C) One will increase and one will decrease.

**Explanation**

Prepayment rates will most likely increase if mortgage rates decrease. Increasing prepayments will decrease the weighted average life of the pass-through security.

For Further Reference:

(Study Session 13, Module 42.1, LOS 42.f)

CFA® Program Curriculum, Volume 4, page 604

Question #172 of 180

Question ID: 1420322

Moore Company stock is currently trading at \$40 per share. An investor attempting to protect against losses of more than 10% on a short position in Moore should place a:

- A) stop buy order at \$44.
- B) stop sell order at \$36.
- C) limit buy order at \$44.



Explanation

The investor is short the stock and will experience losses if the stock price increases. A stop buy order at \$44 will execute if the stock price rises to \$44 or higher. A limit buy order at \$44 would execute immediately because the stock price is less than \$44.

For Further Reference:

(Study Session 11, Module 33.3, LOS 33.h)

CFA® Program Curriculum, Volume 4, page 161

Question #173 of 180

Question ID: 1420359

Which of the following statements *most accurately* represents the positions of the parties to a derivatives contract?

- A) A call option imposes an obligation to buy the underlying security.
- B) A forward contract imposes an obligation on the seller but not the buyer.
- C) Both a put writer and a call writer have an obligation to exchange the underlying asset.



Explanation

Both put and call writers (sellers) have an obligation to honor the terms of the option if it is exercised. Option holders (buyers) have the right, not the obligation, to exercise under the terms of the agreement. The holder pays a premium for this right, while the writer receives a premium for this obligation. A forward contract imposes an obligation on both the buyer and seller to exchange the underlying asset.

For Further Reference:

(Study Session 15, Module 45.1, LOS 45.b)

CFA® Program Curriculum, Volume 5, page 149

Question #174 of 180

Question ID: 1420328

Under which of the following conditions are market values of securities *most likely* to be persistently greater than their intrinsic values?

- A) Short selling is restricted. 
- B) Transactions costs are high. 
- C) Arbitrage trading is restricted. 

Explanation

Restrictions on short sales remove some of the selling pressure on overvalued securities that would otherwise drive their market values down toward their intrinsic values in an efficient market. Market inefficiency caused by high transactions costs or restrictions on arbitrage trading may allow market values that are different from intrinsic values to persist both for overvalued and undervalued securities.

For Further Reference:

(Study Session 11, Module 35.1, LOS 35.c)

CFA® Program Curriculum, Volume 4, page 240

Question #175 of 180

Question ID: 1420354

In what way is approximate convexity different from effective convexity?

- A) Effective convexity takes embedded options into account, while approximate convexity does not. 
- B) Effective convexity results in a more accurate estimate of an option-free bond's change in price than approximate convexity. 
- C) Approximate convexity can be used with an unequal increase and decrease in yield, while effective convexity can only be used with an equal increase or decrease in yield. 

Explanation

The distinction between effective convexity and approximate convexity is that effective convexity accounts for the effects of embedded options on the bond's cash flows at different yields. For bonds that do not have embedded options, there is no difference between effective convexity and approximate convexity. Both measures are used to improve the estimate of the change in a bond's price for a given change in yield.

For Further Reference:

(Study Session 14, Module 43.3, LOS 43.h)

CFA® Program Curriculum, Volume 5, page 36

Question #176 of 180

Question ID: 1420326

A multi-market index is *most likely* to overweight countries that have recently experienced high equity market returns if it weights the securities in each country index by:

- A) dividend yield, and weights the country index returns by market capitalization. 
- B) dividend yield, and weights the country index returns by gross domestic product. 
- C) market capitalization, and weights the country index returns by gross domestic product. 

Explanation

Weighting countries in a multi-market index by market capitalization, rather than a fundamental factor such as GDP, is likely to overweight countries with previously high stock returns.

For Further Reference:

(Study Session 11, Module 34.2, LOS 34.h)

CFA® Program Curriculum, Volume 4, page 213

Question #177 of 180

Question ID: 1420375

Compared to investing in commodities, investing in farmland is *most likely* to provide which of the following benefits?

- A) More liquidity. 
- B) Higher income. 
- C) Better inflation hedge. 

Explanation

Investing in farmland may provide income over the life of the investment from crops produced and sold. Investing in commodities typically does not provide income. Commodities and real estate investments such as farmland may both provide a hedge against inflation. Direct investments in real estate are less liquid than investments in commodities, which are typically made through highly liquid exchange-traded derivatives.

For Further Reference:

(Study Session 16, Module 47.4, LOS 47.f)

CFA® Program Curriculum, Volume 5, page 334

Question #178 of 180

Question ID: 1420342

Accrued interest is the difference between a coupon bond's:

- A) flat price and full price.
- B) clean price and flat price.
- C) invoice price and dirty price.



Explanation

Flat price or clean price does not include accrued interest. Full price (dirty or invoice price) includes accrued interest.

For Further Reference:

(Study Session 13, Module 41.2, LOS 41.d)

CFA® Program Curriculum, Volume 4, page 529

Question #179 of 180

Question ID: 1420366

Given the put-call parity relationship, a synthetic underlying asset can be created by forming a portfolio of a:

- A) long call, long put, and short risk-free bond.
- B) long call, short put, and long risk-free bond.
- C) short call, long put, and long risk-free bond.



Explanation

An asset underlying put and call options can be replicated with a long European call option, a short European put option, and a long position in a risk-free bond that pays the exercise price on the expiration date.

For Further Reference:

(Study Session 15, Module 46.3, LOS 46.l)

CFA® Program Curriculum, Volume 5, page 258

Question #180 of 180

Question ID: 1420337

An analyst gathered the following data about a stock:

- The stock paid a \$1 dividend last year.
- Next year's dividend is projected to be 10% higher.
- The stock is projected to sell for \$25 at the end of the year.
- The risk-free rate of interest is 8%.
- The expected return on the market is 13%.
- The stock's beta is 1.2.

The value of the stock today is *closest* to:

A) \$19.45.



B) \$22.89.



C) \$26.74.



Explanation

$$k = RFR + \beta(R_M - RFR) = 0.08 + 1.2(0.13 - 0.08) = 0.08 + 0.06 = 0.14$$

$$P_0 = \frac{P_1 + D_1}{1 + k} = \frac{25 + 1.10}{1.14} = \$22.89$$

For Further Reference:

(Study Session 12, Module 38.2, LOS 38.g)

CFA® Program Curriculum, Volume 4, page 375